ACS

Datacentre fears obscure a compelling growth and valuation story: Initiate with OW

Initiation
Overweight

ACS.MC, ACS SM
Price (14 Oct 26):€90.10
Price Target (Dec-27):€127.00

We initiate coverage of ACS with a €127 price target, implying 41% upside. Following a 36% share price decline from its May peak, largely driven by deteriorating sentiment towards data centres (~30% of 2026E revenues), we see a compelling entry point into a business whose growth prospects remain firmly intact. We believe the market is underestimating both the visibility and the longevity of ACS's data centre growth, with its secured backlog already underpinning consensus expectations and a substantial pipeline of additional opportunities pointing to upside through 2030. The November 12 CMD should prove a key catalyst, with management guidance potentially dispelling fears of a slowdown and resetting medium-term growth expectations above consensus. Beyond datacentres, we see a striking valuation disconnect: ACS's 80% stake in Hochtief accounts for 96% of its current market capitalisation, leaving just 4% of its equity value attributable to the rest of the group. This implies a mere €4/share for businesses we value at €28/share (implying upside equivalent to ~27% of ACS share price). Importantly, our SOTP valuation does not yet capture the potential value creation from US managed lanes or ACS's direct investments in data centre assets, providing further upside optionality. A potential US listing could offer an additional catalyst to crystallise value and narrow the valuation gap with US peers. With sentiment depressed, earnings visibility underestimated and substantial value yet to be recognised, we see an attractive combination of growth, valuation support and catalysts.

- **Revived confidence in datacentres can drive Hochtief.** ACS owns a ~80% stake in Hochtief, a listed German construction company, which accounted for ~72% of reported EBITDA in 2025. ACS's contracting exposure to datacentres comes from Hochtief, primarily via Turner, a leading player in US datacentre construction. Our analysis suggests the Turner's secured contracts and those under discussion are already sufficient to underpin consensus expectations for datacentre activity for the next two years. With order intake showing no signs of slowing - it rose 50% y/y in H1 - and management likely to guide for growth ahead of consensus in the later years of the decade we see upside to expectations for datacentre growth at Hochtief. We also note the possibility of a US listing in future, which could crystallize value at Turner and highlight that valuation looks particularly compelling relative to Turner's peers in US datacentre contracting.
- **The market is effectively giving the rest of ACS - outside of Hochtief - almost for free.** With the market value of ACS's Hochtief accounting for ~96% of ACS's market cap, the implied value of ACS outside Hochtief is ~€4. We value Dragados, Iridium, Coravel, a 30% stake in Abertis and ACS's own data-centre investments at ~€28 per share, implying upside of ~€24 per share or 27% of ACS's share price. We also note that we value ACS's greenfield investments at equity invested, implying value crystallization to come as datacentre projects reach key milestones, and that our SOTP does not currently include any future value creation in US Managed Lanes.

European Building & Construction and Infrastructure

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	70	49	38	17	16
Growth	57	70	66	62	58
Momentum	4	6	23	60	94
Quality	56	66	75	75	64
Low Vol	27	59	27	2	34
ESGQ	11	81	84	8	81

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 39 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	6.2%	-1.9%	-24.8%	25.0%
Rel	-4.9%	-0.2%	-24.1%	1.6%

Company Data

Shares O/S (mn)	274
52-week range (€)	141.20-69.50
Market cap ($ mn)	27,650.31
Exchange rate	0.89
Free float (%)	77.0%
3M ADV (mn)	0.48
3M ADV ($ mn)	55.1
Volatility (90 Day)	29
Index	IBEX 35
BBG ANR (Buy | Hold | Sell)	12|6|2

Key Metrics (FYE Dec)

€ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	49,848	55,614	61,603	66,051
Adj. EBITDA	3,070	3,478	3,818	4,147
Adj. EBIT	2,100	2,515	2,817	3,114
Adj. net income	950	1,118	1,335	1,548
Adj. EPS	3.69	4.08	4.87	5.65
BBG EPS	3.26	4.23	5.06	5.83
Cashflow from operations	3,047	2,547	2,878	3,158
FCFF	1,401	923	1,978	2,258
Margins and Growth				
Revenue Growth Y/Y (%)	19.7%	11.6%	10.8%	7.2%
EBITDA margin	6.2%	6.3%	6.2%	6.3%
EBITDA Growth Y/Y (%)	25.0%	13.3%	9.8%	8.6%
EBIT margin	4.2%	4.5%	4.6%	4.7%
Net margin	1.9%	2.0%	2.2%	2.3%
Adj. EPS growth	14.3%	10.5%	19.5%	15.9%
Ratios				
Adj. tax rate	27.3%	27.3%	27.3%	27.3%
Interest cover	5.5	5.9	7.8	10.0
Net debt/Equity	0.5	0.1	NM	NM
Net debt/EBITDA	0.8	0.2	NM	NM
ROCE	8.2%	9.5%	10.8%	11.9%
ROE	19.9%	20.1%	19.5%	19.5%
Valuation				
FCFF yield	6.0%	3.7%	8.0%	9.1%
Dividend yield	2.2%	2.7%	2.9%	3.5%
EV/Revenue	0.5	0.5	0.4	0.3
EV/EBITDA	8.8	7.3	6.3	5.6
Adj. P/E	24.4	22.1	18.5	15.9

Summary Investment Thesis and Valuation

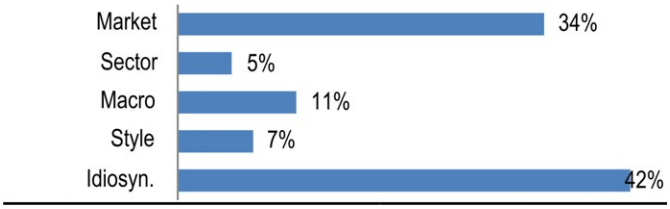
Investment Thesis

Following a significant share price decline, largely driven by deteriorating sentiment towards data centres (~30% of 2026E revenues), we see a compelling entry point into a business whose growth prospects remain firmly intact. We believe the market is underestimating both the visibility and the longevity of ACS's data centre growth, with its secured backlog already underpinning consensus expectations and a substantial pipeline of additional opportunities pointing to upside through 2030. The November 12 CMD should prove a key catalyst, with management guidance potentially dispelling fears of a slowdown and resetting medium-term growth expectations above consensus. Beyond datacentres, we see a striking valuation disconnect: ACS's 80% stake in Hochtief now accounts for 96% of its current market capitalisation, implying the market is offering the rest of ACS almost for free and suggesting material upside in the valuation of these parts of ACS. Importantly, our SOTP valuation does not yet capture the potential value creation from US managed lanes or ACS's direct investments in data centre assets, providing further upside optionality. A potential US listing could offer an additional catalyst to crystallise value and narrow the valuation gap with US peers.

Valuation

We use a Sum-of-the-Parts (SOTP) methodology to calculate our price target. Our SOTP calculation, which we show below, is based on EV/EBITDA multiples for the contracting businesses, a DCF for Abertis and for greenfield projects we value them at equity invested.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.52	0.59
Sect: Industrials	0.24	0.27
Ind: Capital Goods	0.28	0.27
Macro:		
Euro	0.26	0.26
Markit Eurozone Comp PMI	-0.34	-0.25
Eurozone CPI	0.12	0.06
Quant Styles:		
Momentum	0.34	0.31
Size	0.34	0.30
Growth	0.10	0.13

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Executive Summary

Pull-back since May offers entry point

ACS's shares are up 6% YTD, but down 36% from their highs in May, driven by investor concerns regarding pushback against datacentre construction. As a result, the stock has de-rated ~12% this year and ~43% from its peak despite rising earnings expectations and now trades slightly below its long-term average. We regard the opportunity to buy a stock offering, on our estimates, an 18% net income CAGR 2026-28 on a multiple below its long-term average as a highly attractive entry point.

ACS to reassure on datacentre earnings trajectory to 2030 at the CMD

Datacentres have been a key driver in recent years, with ACS at the forefront of the build-out through Hochtief's Turner, underpinning both top-line growth and margin expansion: we estimate that datacentre activity will represent ~32% of ACS's revenues this year, reaching the €20-25bn guidance range provided for 2030 four years early, while Turner's margins have increased from 2.7% in 2023 to 4.1% in 2026E and margins of 5% are regarded by management as wholly achievable by 2030.

ACS will host a CMD in Madrid on 12 November and the focus will be on the new set of multi-year targets, with investors concerned regarding the sustainability of ACS's datacentre driven growth. Bloomberg consensus looks for an 8% revenue CAGR and a 15% net income CAGR over the 2027-30 period, with forecast growth rates slowing markedly after 2028. ACS's de-rating this year has been driven by investors' concerns that ACS's datacentre driven growth trajectory is not sustainable beyond the next couple of years. As such, we would expect guidance that looks for ACS to sustain its growth up to the end of the decade (exceeding consensus in the outer years) to provide reassurance to investors on this key debate and to be well received by the market.

Prospect of a US listing offers further valuation support

A secondary listing of either ACS or Hochtief shares in the US would seem a natural fit, with 59% of the group's revenues secured in the US, and could offer exposure to a deeper pool of investors and to the higher multiples potentially attainable on US equity markets. We also note that a comparison to the multiples of US listed specialist contractors in the US datacentre space - exposed to the same growth dynamics as Turner, albeit with higher margins - shows that ACS trades at a 55% discount to these peers and that our multiple for Turner implies a 31% discount. A US listing could help to crystallise some of this upside in future.

The market offers ACS outside of Hochtief almost for free

ACS owns an ~80% stake in Hochtief, a listed German construction company, which accounted for ~72% of reported EBITDA in 2025. With the market value of ACS's Hochtief stake accounting for ~96% of ACS's market cap, the implied value of ACS outside Hochtief is ~€4. We value Dragados, Iridium, Coravel, a 30% stake in Abertis and ACS's own data-centre investments at ~€28 per share, implying upside of ~€24 per share or 27% of ACS's share price. We also note that we value ACS's greenfield investments at equity invested, implying value crystallization to come as datacentre projects reach key milestones, and that our SOTP does not currently include any future value creation in US Managed Lanes.

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Value creation in US managed lanes

ACS plans to invest €1.5bn of equity into greenfield transport assets by the end of the decade, and €3bn by 2033, with this investment primarily comprising US Managed Lanes. The company already won the SR400 in 2024 and it aims to win two more by the end of the decade. We expect the company to win these projects, noting that the size of the pipeline is likely to preclude any single player from winning all the projects. We would expect the projects to allow for significant longer-term value creation, and any project win to prove an immediate positive catalyst. ACS bid with discipline for the I24 and faces little pressure to become more aggressive, given the number of other attractive greenfield opportunities it enjoys for its capital.

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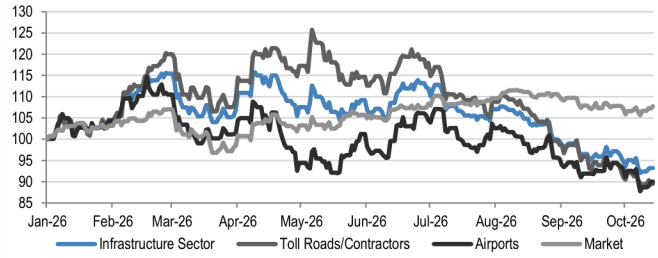
Share Price Performance & Valuation

Pull-back since May offers entry point

On a YTD basis, ACS has been an outperformer vs the sector, up 6% vs the infrastructure sector down 7% on average, although it has underperformed the SXXP (up 8%). Within the sector only Getlink has performed better, buoyed by take-over speculation after Eiffage and Mundys increased their stakes at the start of the year. However, as we show in Figure 4and Figure 5, this YTD view conceals the material pull-back experienced by ACS's and Hochtief's shares since they hit all-time highs in early May. Indeed, ACS's shares are down 36% from their highs earlier this year, largely reflecting investors' concerns that the growing pushback against datacentre construction could affect ACS's earnings trajectory (and in particular, growth at Hochtief's Turner).

Figure 2: European Infrastructure – Share Price Performance vs Market (SXXP) YTD

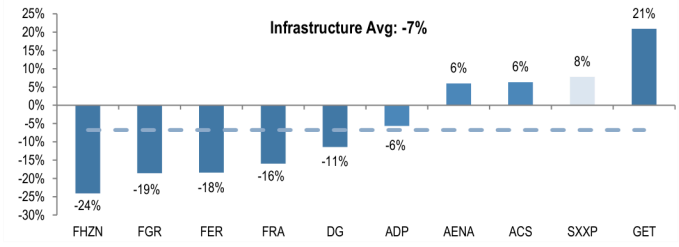
Index = 100 at Jan-2026



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 3: European Infrastructure – Stock Performance YTD

Share Price Performance since Jan-2026



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 4: ACS – Share Price Performance YTD

Index = 100 at Jan-2026



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 5: Hochtief – Share Price Performance YTD

Index = 100 at Jan-2026



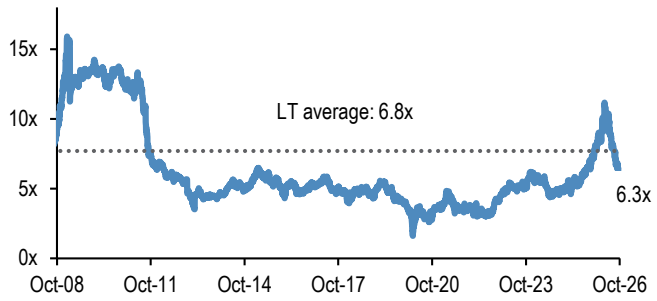
Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

ACS has de-rated this year, despite rising estimates

We show in Figure 6that ACS is now trading below its long-term average valuation on a 12m forward EV/EBITDA basis. However, as Figure 7highlights, this reflects a year of two halves, with the share price performance outlined above driving a material re-rating until May and a marked reversal thereafter. Overall, despite the share price gains YTD, the stock has de-rated ~12% this year, reflecting that the shares' gains this year have lagged the increases in consensus earnings.

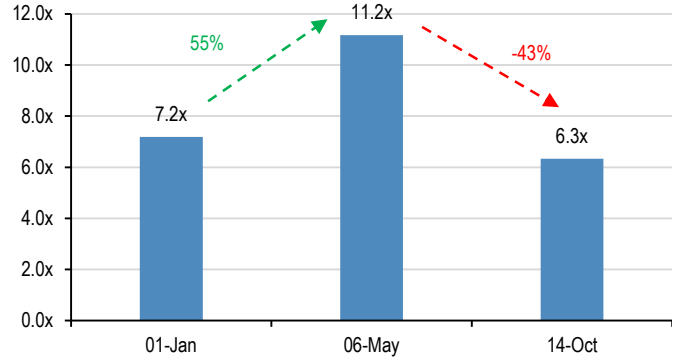
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Figure 6: ACS – 12M Forward EV/EBITDA



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 7: ACS – Valuation this year



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

We also provide a valuation summary for the European Infrastructure sector in the table below.

Figure 8: European Infrastructure – Valuation Table

	Rating	Price (LC)	JPM PT (LC)	Upside %	Local Cur.	Mkt Cap (LC m)	P/E 26E	P/E 27E	EV/EBITDA 26E	EV/EBITDA 27E	Div. Yield 26E	Div. Yield 27E	FCF Yield 26E	FCF Yield 27E
Eiffage	OW	99.5	159	60%	EUR	9,747	8.7	8.1	4.5	4.2	5.0%	5.4%	15.4%	18.6%
Vinci	N	106.4	142	33%	EUR	62,587	11.3	10.5	5.9	5.6	5.2%	5.6%	8.5%	9.1%
Toll Roads							**10.0**	**9.3**	**5.2**	**4.9**	**5.1%**	**5.5%**	**12.0%**	**13.9%**
ADP	OW	105.3	130	23%	EUR	10,421	17.1	13.5	8.8	7.8	4.5%	4.5%	2.3%	7.6%
Aena	N	25.2	24	-5%	EUR	37,830	16.3	15.6	10.8	10.5	4.8%	5.0%	3.0%	3.7%
Fraport	OW	58.5	81	39%	EUR	5,405	19.5	16.8	9.5	8.7	1.7%	1.7%	2.2%	6.3%
Zurich	N	190.1	238	25%	CHF	5,836	18.4	21.9	9.8	10.0	4.1%	3.4%	3.1%	5.2%
Airports							**17.8**	**16.9**	**9.7**	**9.2**	**3.8%**	**3.6%**	**2.7%**	**5.7%**
Ferrovial (adj.)	N	45.2	50	11%	EUR	32,947	51.9	47.5	46.2	42.4	1.9%	1.9%	2.3%	3.3%
Getlink	N	19.1	19	0%	EUR	10,483	32.3	27.2	15.6	15.1	4.5%	4.7%	4.9%	4.9%
ACS	OW	90.1	127	41%	EUR	24,953	22.1	18.5	7.2	6.3	2.7%	2.9%	3.7%	7.9%
Infrastructure*							**18.2**	**16.5**	**9.0**	**8.5**	**4.0%**	**4.1%**	**5.4%**	**7.9%**

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

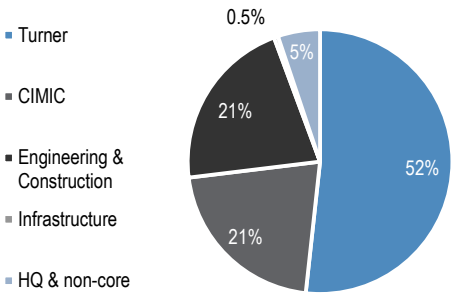
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Introduction to ACS

ACS is a global infrastructure operator and provider that operates across the entire infrastructure value chain, developing, building and operating engineering, construction and infrastructure development projects in the transportation, environment, building, digital, natural resources and advanced technology segments. The group employs over 157,000 people and operates in three developed markets – North America, Europe and Asia-Pacific (primarily in Australia). ACS operates across three business lines: **Integrated Solutions**, which provides engineering-led services, **Infrastructure**, which develops, operates and invests in greenfield and brownfield assets, and **Engineering & Construction**, which carries out civil engineering works on large projects. Since its 2024 CMD, the group has reported across five business segments, with the Integrated Solutions line sub-divided between CIMIC (which operates primarily in the Asia-Pacific region) and Turner (a leading construction management company in the US) and the company also reporting a 'Corporations, other activities and adjustments' line, which primarily contains ACS's essential social services business Clece (which ACS has been seeking to divest since late 2023).

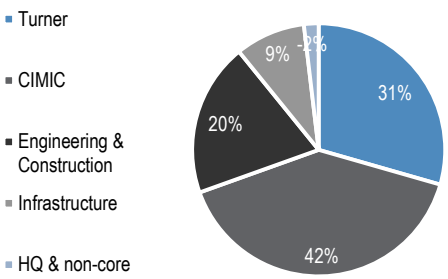
In Figure 9and Figure 10we provide a breakdown of sales and EBITDA across ACS's business segments, demonstrating that Integrated Solutions accounts for the bulk of activity at 73% of group consolidated revenues and 72% of EBITDA. Abertis, which accounted for 51% of the Infrastructure segment's EBITDA in 2025, is not consolidated at the revenue level – a reason for the segment's lower proportion of group revenues.

Figure 9: ACS – 2025 Revenue Split



Source: Company reports.

Figure 10: ACS – 2025 EBITDA Split



Source: Company reports.

Group Structure

ACS has an atypical group structure, with much of the company's value attributable to its ~80% stake in Hochtief, a German construction company which ACS achieved control of in 2011, but which remains independently listed in Germany. Figure 11 outlines the ownership of ACS's key business segments, while Figure 12 shows a summary of the group's ownership structure, as provided by the company.

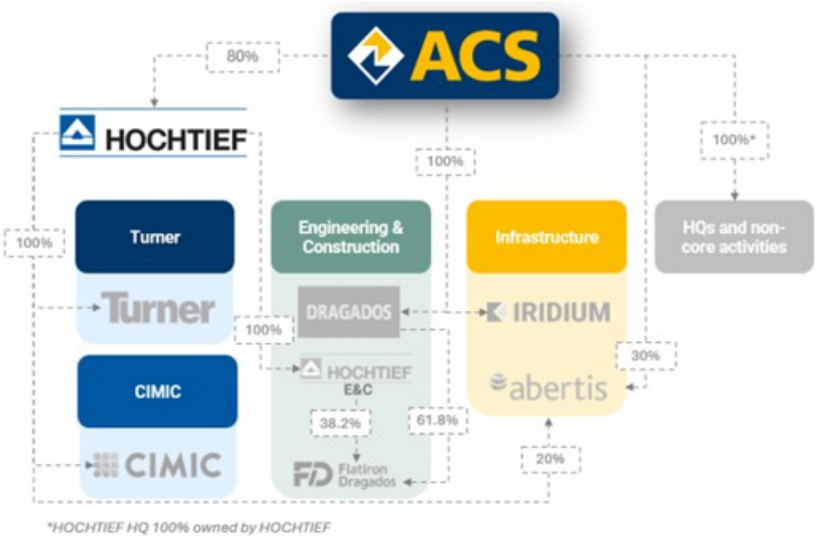
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Figure 11: ACS Business Segments – Ownership Structure

Business Line	Subsidiary	Ownership Details
Integrated Solutions	Turner	Wholly owned by Hochtief
	CIMIC	Wholly owned by Hochtief
Engineering & Construction	Dragados	Wholly owned by ACS
	Hochtief Europe	Wholly owned by Hochtief
	FlatironDragados	61.8% owned by ACS, 38.2% owned by Hochtief
Infrastructure	Abertis	50% plus 1 share owned by Mundys, 30% owned by ACS, 20% less one share owned by Hochtief
	Iridium	Wholly owned by ACS
	Hoctief PPP Solutions	Wholly owned by Hochtief
	Pacific Partnerships	Wholly owned by CIMIC (which is wholly owned by Hochtief)

Source: Company reports.

Figure 12: ACS Group – Ownership Structure

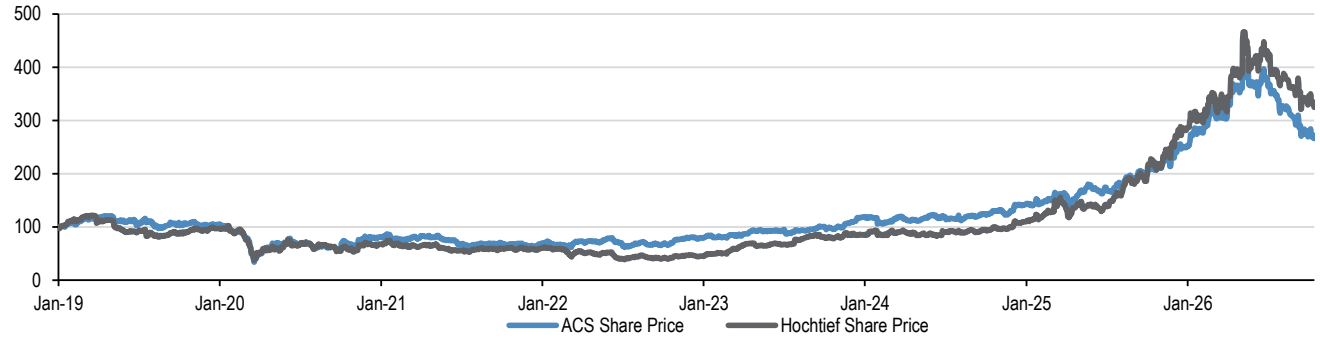


Source: Company reports.

ACS's stake in Hochtief is central to the company's operations and valuation: Turner, CIMIC and Hochtief E&C accounted for ~76% of ACS's consolidated EBITDA between them in 2025. As such, any changes in the outlook for Hochtief are also a core driver of ACS's prospects, and the two share prices therefore exhibit a very strong correlation. Figure 13shows that the two share prices have closely tracked each other over the last seven years, with the correlation since the start of 2019 estimated at ~99%. There has been no weakening in the relationship, which we estimate at ~98% YTD.

Figure 13: ACS & Hochtief – Share Prices since 2019

Index = 100 at Jan 2019

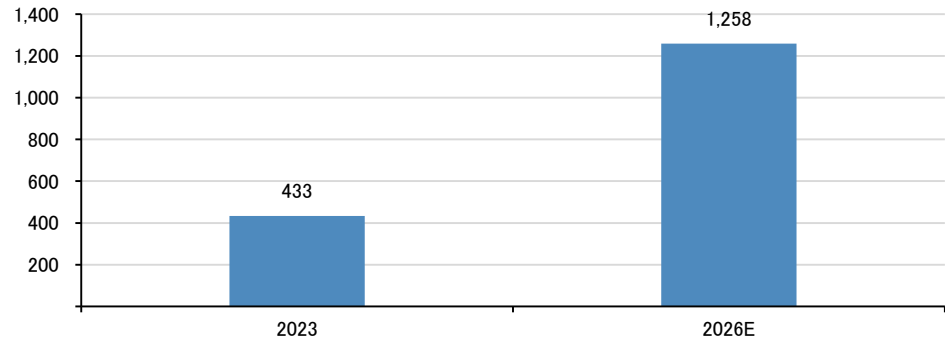


Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

We also highlight the strength of the ACS and Hochtief share prices over the last two years: since 1 January 2024, ACS shares are up 124% and Hochtief shares 281%. This strong performance reflects that the group has been a key beneficiary of the datacentre build-out. Hochtief's Turner is a leader in datacentre construction in the US, and this has been a key driver of the company's boom in recent years – as we show in Figure 14, we see 2026E EBITDA at almost treble 2023's levels. Turner's EBITDA growth accounts for ~53% of the increase in ACS's consolidated EBITDA that we expect over the same period, reflecting the central role of Turner in ACS and Hochtief's recent success.

Figure 14: Turner – EBITDA

€m



Source: Company reports and J.P. Morgan estimates.

Group Simplification

ACS has made a number of strategic changes this decade so far, with a key tenet of ACS's strategy being the simplification of its group structure, in response to concerns that the group's complexity was dissuading investors. To this end, a number of steps have been taken:

- **2021: ACS Industrial Services divested.** Vinci and ACS announced in 2021 (link to our alert) that Vinci was acquiring ACS Industrial Services, ACS's energy business, for an EV of €4.2bn to be paid fully in cash with additional contingent payments of up to €0.6bn over time subject to achieving milestones in the development of renewables projects. This was a major divestment for ACS: Industrial Services had accounted for 17% of revenue and 22% of EBITDA in 2019. At FY21, Florentino Perez (at the time CEO as well as chairman of ACS) called it

"a major transformation in our strategy in the group". He went on to say that the divestment would help the group in its strategic goals at the time, namely to invest in infrastructure concession assets, focus on construction and concessions as the group's core businesses and to continue to simplify the group's structure.

- **2022: CIMIC de-listed.** The next major step towards a simpler group structure, funded by the proceeds from the divestment of Industrial Services. Until 2022, the group comprised three separate listings: CIMIC was listed on the Australian stock exchange but controlled and consolidated by Hochtief, which was in turn listed in Germany but controlled and consolidated by ACS. Given that CIMIC represented close to 40% of consolidated EBITDA in 2022, this introduced significant complexity into the control and valuation of the group's core segment. Following a number of controversies, ACS and Hochtief de-listed CIMIC in May 2022, ending CIMIC's 60 years as a listed Australian company and meaningfully streamlining the group's structure.
- **2022: Acquisition of Atlantia's stake in Hochtief.** Hochtief accounts for a significant majority of ACS's EBITDA and valuation, but until 2022 ACS held a controlling stake by a narrow margin (at the end of 2021, Hochtief disclosed that ACS held a 50.4% stake). By the end of 2022 this had increased to 70.3% (adjusted for treasury stock) with ACS acquiring Atlantia's 14.5% stake in Hochtief and contributing 85% of the capital raised by Hochtief in a 10% capital increase to fund the de-listing of CIMIC. ACS has continued to look to reduce the role of minorities in Hochtief where market opportunities arise, with its stake now above 80% when adjusted for treasury stock.
- **Increased integration of operations.** The simpler group structure and the increased control that comes with the reduced level of minority investors in the group's companies has allowed ACS to dramatically integrate the operations of group companies. ACS has sought to move from a decentralised organisation, with a number of companies operating independently and supervised at holding level, to a system where all companies think of themselves as primarily ACS Group companies with operations integrated to an increasing degree. A notable example came in 2024, when the group announced that ACS's North American Engineering & Construction activities (owned via Dragados) and those of Hochtief (operating under the brand Flatiron) would be combined into one company called Flatiron Dragados.
- **2024 CMD: New reporting structure.** Following these efforts, ACS hosted a CMD for the first time in 2024 to explain and outline the group's structure. The company announced its new reporting structure, split into three business lines (Integrated Solutions, Engineering & Construction and Infrastructure). A deep dive presentation was made on Turner, CIMIC, Engineering & Construction, Abertis and ACS's greenfield concessions businesses. ACS provided multi-year financial guidance both across its different business lines and at group level and, overall, set out its strategy for the coming years and how it expects to benefit from various structural growth drivers including AI, digitalisation, sustainable mobility and the energy transition.

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Datacentre Earnings Momentum to Continue

ACS Exposure

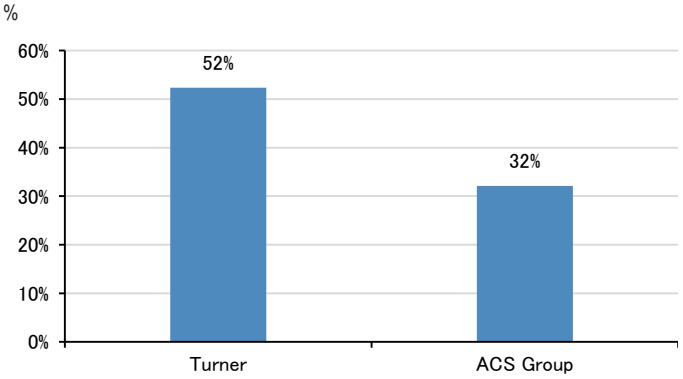
The datacentre buildout has been a key growth engine for ACS in recent years, and a major reason for its stellar share price performance. As we discussed last year in our First Principles on Datacentre Construction (link) the datacentre space is poised for huge amounts of growth driven primarily by the increasing adoption of Generative AI, the migration of data to the cloud and increased digitalisation of our lives across financial services, e-commerce, the Internet-of-things and more. ACS intends to expose itself to this growth in three roles:

- **Engineering & Contracting.** ACS has extensive experience in datacentre construction, primarily through Turner's activities in North America but also in Europe and Asia. ACS says its focus now is on continuing to reinforce its engineering and modular construction capabilities: given the pressure to construct datacentres quickly, this is important if ACS is to retain its competitive edge.
- **Investor & Developer.** ACS is investing its own equity in both large datacentres and smaller edge datacentres, which it will then lease to hyperscalers and other enterprises in a venture that leverages the end-to-end capabilities the group already has through its engineering and contracting activities. To this end, it has formed a 50-50 partnership with Blackrock's GIP, although ACS has also invested in the Waterford datacentre project (1.2GW) independently of Coravel (ACS and GIP's joint vehicle) and management noted in the Q2 26 conference call that ACS has exclusivity agreements in place to invest in a further 850 MW of datacentre projects outside of Coravel.
- **Cloud/GPU Provider.** ACS hopes to use the edge datacentres it is building as a means of offering cloud services, allowing ACS to access a further layer in the AI value chain beyond merely constructing and leasing out the facilities.

Management referred at Q2 to an expectation that ACS will exceed $20bn in revenues attributable to datacentres in 2026, with $17-19bn of these achieved by Turner. This compares to the ~€9bn of datacentre revenues the company estimated for 2025 at its Investor Day in November last year. As we show in Figure 15, this implies that ~53% of our revenue forecast for Turner this year and ~32% of ACS group revenues will be achieved within the datacentre space. Management also provided the following breakdown of the order backlog: $25.1bn in secured projects (of which $22bn is Turner), $21.2bn in projects that are awarded but not yet secured (of which $20bn is Turner) and $15bn that have been communicated to ACS and which the company is working on (which are entirely at Turner). Figure 16shows the implied weighting of datacentres within ACS's backlog when we include the first bucket, the first and second buckets, and all three buckets.

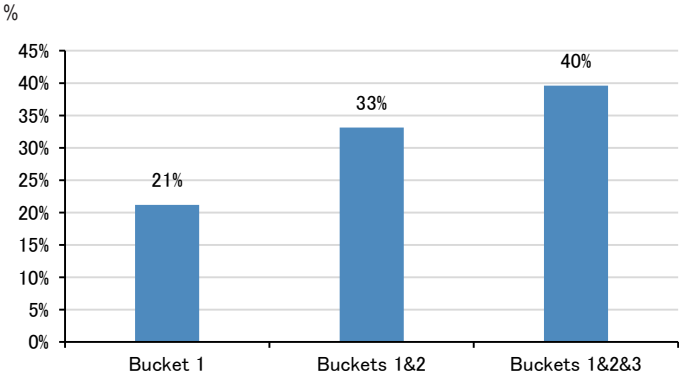
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Figure 15: Turner & ACS – Revenue Exposure to Datacentres



Source: J.P. Morgan estimates.

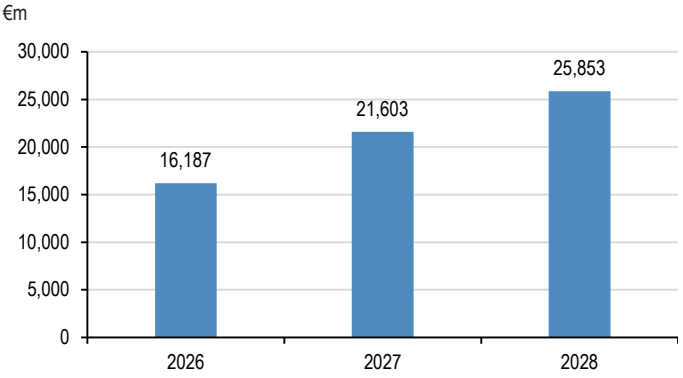
Figure 16: Datacentres – Weighting within ACS Order Backlog



Source: J.P. Morgan estimates.

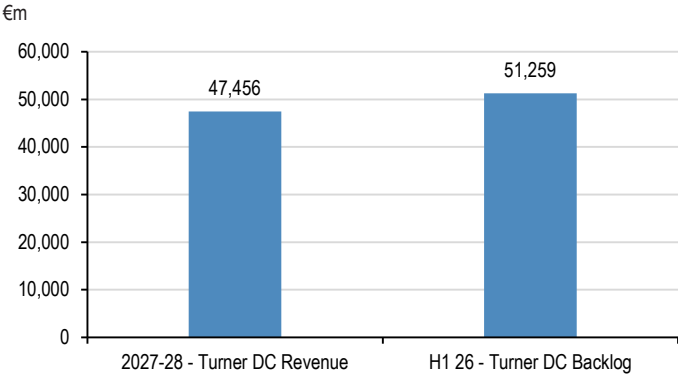
This backlog is likely sufficient to cover the entirety of the datacentre revenues consensus attributed to Turner by consensus in 2027/28, even without assuming any more contract wins. Management said at Q2 that Turner is likely to achieve around $17-$19bn in datacentre revenues in 2026. In Figure 17, we show the implied datacentre revenues in 2027/28, when we assume that 100% of the revenue growth consensus sees for Turner represents growth in datacentre activity. In Figure 18, we show Turner's datacentre backlog when we include all three of management's 'buckets'. We show that this backlog would already be sufficient to cover the entirety of the datacentre revenues consensus looks for in 2027/28 – and we stress that this is while we assume that 100% of revenue growth is datacentre growth. Given that Hochtief's order intake in datacentres in H1 was €13.3bn and rose 50% y/y, we see clear upside to the implied consensus expectations for datacentre activity in the next few years.

Figure 17: Turner – Consensus Datacentre Revenues, if 100% of Turner's Growth is in Datacentres



Source: J.P. Morgan estimates.

Figure 18: Turner's Datacentre Order Backlog Already Covers These 2 Years of Datacentre Revenues



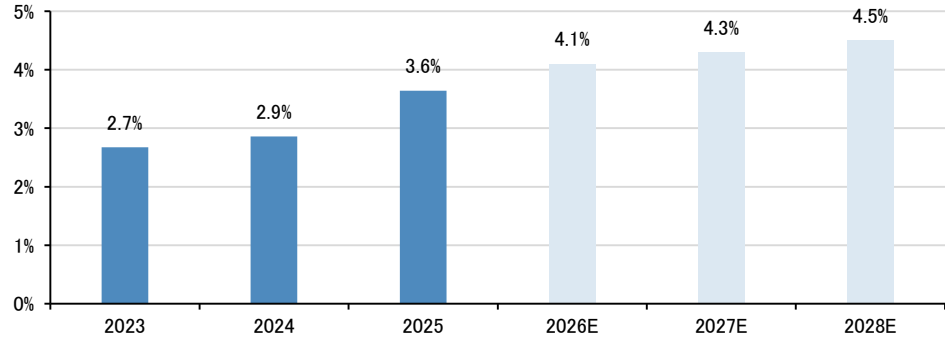
Source: J.P. Morgan estimates.

Margin Expansion

Datacentres have not just been an engine of volume growth for ACS, but also a key driver of margin expansion. Datacentre construction is more complex than the sorts of civil engineering projects ACS Group companies worked on historically, reducing the number of competitors able to do the work. The urgency with which hyperscalers are pressing on with the datacentre buildout confers a further advantage upon a trusted and known partner such as Turner, with significant experience in the space: clients are more sensitive to reliability and the assurance that the project will be completed smoothly

than they are to price and necessarily pursuing the lowest priced offer. Overall, 5%-6% EBITDA margins are regarded as typical for datacentre work.

Figure 19: Historic & JPMe EBITDA Margin Development – Turner



Source: Company reports and J.P. Morgan estimates.

ACS is strongly pursuing greater use of modularisation in datacentre construction, which is regarded as a key means of reducing costs and further improving margins, while the growth of SourceBlue offers a further source of support for margins. Management has expressed confidence in a path to 5% EBITDA margins by 2030 for Turner, which would be almost 40% higher than 2025's level. We look for continued margin expansion over the coming years at Turner, and alongside the revenue growth underpinned by continued hyperscaler capex, we expect datacentres to remain a key driver of earnings for the group's contracting activities.

We also note that CIMIC is expanding its presence within datacentres – in the Q2 Hochtief conference call, management referred to a 40% y/y increase in the revenue contribution from datacentres – and that ACS should stand to benefit from the coming datacentre build-out within Europe through Hochtief Engineering & Construction. Moreover, Turner is looking to expand its presence within Europe, largely in a bid to leverage its experience within datacentres in the US and participate in the build-out in Europe. Towards this end, the company announced in 2024 (link) that it would be acquiring Dornan Engineering, saying the move 'will accelerate Turner's strategic growth in Europe' and that Turner 'has identified around EUR 20bn dollars of advanced technology project opportunities in Europe.'

Coravel

To facilitate its activities as a direct investor in datacentres, ACS announced in November 2025 an agreement to form a 50-50 joint venture dedicated to datacentre development and operation globally. The platform will initially possess ACS's existing 1.7 GW portfolio of seven datacentre assets under development across Europe, the United States and Australia. The transaction values these assets at approximately €2.0bn, meaning that GIP will make an upfront cash payment of approximately €1.0bn to ACS for its 50% stake in the platform. ACS will also be able to receive additional earn-outs of up to €1.0bn, contingent on achieving predefined commercial milestones. An additional earn-out of up to €200m may also be earned from additional pipeline projects currently under analysis. We provide an overview in Figure 20of the seven assets ACS contributed to the platform, and in Figure 21 show the development of equity value attributable to ACS that the company is forecasting. We stress that the total value of the portfolio is therefore twice what we show, and also that only €8bn of the

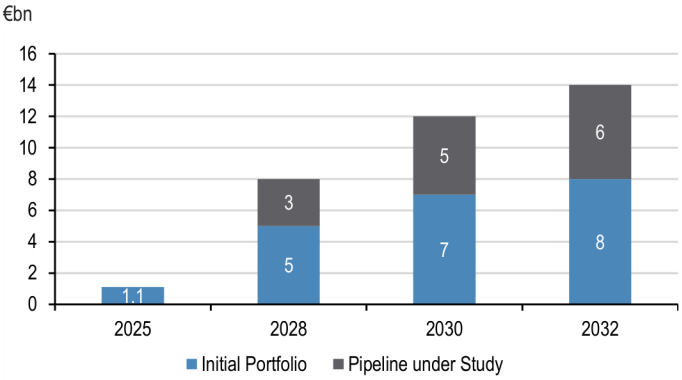
€14bn seen by 2032 is accounted for by the present portfolio under development. ACS is reviewing a pipeline of potential projects exceeding 11 GW across North America, Europe, and Asia Pacific and this guidance assumes that suitable opportunities are identified and won.

Figure 20: Coravel – Initial Portfolio

Site	Capacity (MW)	COD
Madrid 1	140	2026
Texas	335	2027
Virginia	300	2027
Melbourne	240	2028
Madrid 2	137	2028
Zaragoza 1	300	2028
Zaragoza 2	400	2028

Source: Company reports.

Figure 21: Coravel – Equity Value of ACS's 50% Stake



Source: Company reports.

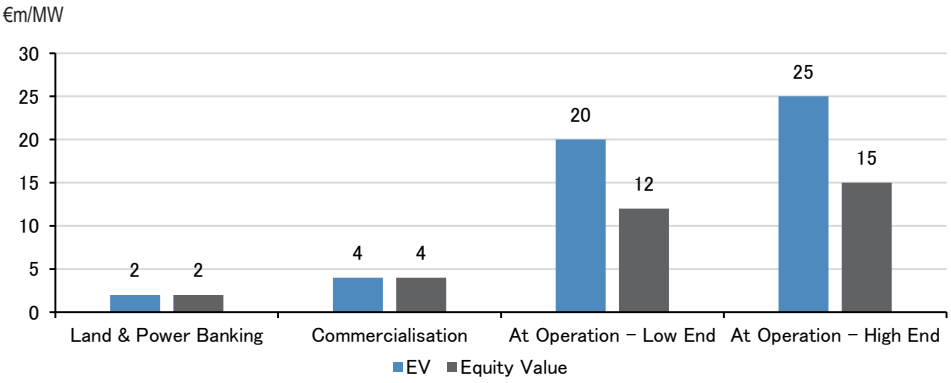
ACS has said that it is in advanced discussions with possible clients, and that it is targeting agreements for 10 years or more. Although agreements of this duration create the risk of an early exit, ACS is relatively sanguine about this possibility, noting that the significant investments a tenant makes in the technologies it houses in the datacentre space it is renting creates strong barriers to exit. Overall, given the strength of demand for datacentre space both at present and on a forecasted basis, it appears unlikely the platform will struggle to find takers for the capacity it constructs. More recently, ACS announced in July that the platform will operate under the brand Coravel, and that it had secured its first hyperscale lease at its Dallas-Fort Worth Metroplex campus. The agreement covers circa 140 megawatts of critical IT load across three purpose-built facilities, with expansion rights over a further circa 100 megawatts IT across two additional facilities.

In a similar vein to the higher margins conferred upon contracting work by the complexity of these contracts, ACS believes that equity investments in datacentre projects can offer attractive IRRs as a result of the complexity inherent in the undertaking, which acts as a barrier to entry by making the projects unacceptably risky to most competitors. Indeed, it is this risk profile that Vinci and Eiffage have cited for their reluctance to make equity commitments in the space. Datacentre development requires the company to buy land, win permits and bring the project to within a year of completion before hyperscalers will consider entering lease commitments. This entails constructing a technologically complex facility in a fast developing and changing space, in the expectation that as the end of the project approaches your product will prove attractive. Ultimately, to make equity commitments with confidence relies upon strong relationships with hyperscale clients, such that the developer can be comfortable that they are abreast of changes in the sector and are producing a facility they will be able to lease. ACS, with extensive experience in the space and an ongoing awareness of developments through Turner's work, can do this with a degree of confidence its peers cannot. These barriers to entry are why ACS expects to secure a highly attractive IRR through its investment in the space.

We also note that ACS is investing in datacentres outside of Coravel. Most notably, the company said at Q2 2026 results that it had invested ~€400m in the development of a 1.2 GW datacentre giga-campus in Waterford, Ohio. Management went on to say that ACS had a further 850MW secured through exclusivity agreements, of which 650MW are in the US, 125MW in Europe and 40 MW in Chile. Moreover, the company is working on a 225 MW Gigafactory project in Spain. ACS is likely to ultimately transfer these projects to the Coravel platform (thereby crystallising 50% of the value for ACS while retaining a 50% stake through ACS's stake in Coravel), but the company has been clear that the intention is to develop the site and sign a lease first, unlocking significant value creation.

Figure 22shows the estimated valuation of a datacentre project at each stage of its development, as provided by ACS at its Investor Day in 2025. We note the doubling in EV once the project is commercialized and the significant value creation once the facility becomes operational. We also highlight that once the first lease is signed it becomes possible to pursue debt financing for the project. As such, the equity requirements are typically frontloaded, with ACS investing in the site until a lease is signed. Overall, the company typically aims for a 70%/30% split of debt and equity financing over the course of the project.

Figure 22: Datacentre Projects – EV and Equity Value by Stage of Development



Source: Company reports.

ACS Confident in Growth Trajectory

A key reason for ACS's weaker share price performance in the second half of this year has been growing investor concerns regarding a potential backlash to datacentre construction, and the possible implications for ACS's earnings momentum. As highlighted (here), "Seven in 10 Americans oppose constructing data centres for artificial intelligence in their local area, including nearly half, 48%, who are strongly opposed. Barely a quarter favor these projects, with 7% strongly in favour". The same theme is set to play a key role in the 2026 midterms, according to Brookings (here), who state that candidates in both parties are increasingly running ads against data centres, framing opponents as indifferent to community concerns over their construction, noting that public opinion on data centres has swung from cautiously optimistic to largely negative, with concerns over electricity rates, water use and job creation cutting across party lines. There are already states that have implemented legislation against data centres, as we show in Figure 23.

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Figure 23: States Implementing Legislation Against Datacentres

State	Bill	Details	Status
Delaware	SB 353	Moratorium on permits for data centers over 100 MW until January 2027.	Introduced
Georgia	HB 1059	Forbids local governments from permitting data centers until December 2028.	Introduced
Maine	LD 307	Moratorium on data centers over 20 MW until November 2027.	Vetoed
Maryland	HB 120	No data centers may be constructed or permitted.	Failed
Michigan	HB 5594 / HB 5595	Local governments and the public service commission may not permit or approve new data centers until April 2027.	Introduced
Minnesota	HB 4888 / SB 4298	Bans new data center permits until the Public Utility Commission submits a comprehensive report, until at least July 2027.	Failed
New Hampshire	HB 1265	One-year moratorium on data center construction.	Failed
New Jersey	AB 5482	Six-month moratorium on data center approval, construction, or tax incentives.	Introduced
New York	AB 10141 / SB 9144	One-year moratorium on data centers over 20 MW.	Passed Legislature
Oklahoma	SB 1488	Moratorium on data center construction until November 2029.	Failed
Pennsylvania	SB 1359 / HB 2533	Three-year moratorium on new data centers, paired with impact studies; or empower municipalities to prohibit data centers.	Introduced
South Carolina	H 5526	Forbids local approval of data centers until the Legislature adopts a "comprehensive oversight" framework.	Introduced
South Dakota	SB 232	One year moratorium on construction or expansion of data centers	Failed
Vermont	S 205	Moratorium on data centers until 2030, requires impact study.	Introduced
Virginia	HB 1515	Prohibits final approval of new data centers until all interconnection requests are fulfilled, or until July 2028.	Continued
Wisconsin	SB 1061 / AB 1099	Prohibits data center operation until 14 conditions are satisfied.	Failed

Source: National Conference of State Legislatures - https://www.ncsl.org/fiscal/which-states-are-banning-data-centers

We see reasons to regard investors' reaction as overdone, and we remain confident in datacentres as a growth driver for ACS. First, we note ACS's significant order backlog within datacentres (Figure 16), which offers visibility in the near and medium term. We also note that momentum in order intake has not shown signs of slowing, with ACS saying in Q2 that Hochtief saw 50% growth y/y in H1 in new orders for datacentres. Management commentary also remains bullish, expressing "surprise" at Q2 and talking of "how much visibility we have in the datacenter market versus sometimes what the market is seeing". Indeed, management went on to say that clients' capex "continues growing and increasing" and that it does not "see a slowdown in any way of any of the hyperscalers". Overall, ACS has consistently communicated that it is in ongoing dialogue with hyperscale clients, given how closely they work with them, and that they are seeing no signs of a slowing in momentum.

This aligns with the results of the JPMorgan European Capital Goods Research team's recent Global Capex Survey (link), with the team referring to a demand outlook underpinned by datacentres (DC), semiconductors and the broader hardware and AI infrastructure complex. Moreover, the team saw upwards revisions to 2026 and 2027 capex expectations in Internet, Media and Services (where DC capex is captured), for which the team's survey expects further growth of +98% y/y in 2026, followed by +47% growth in 2027 and +9% in 2028. The team said this is primarily due to heavy investments by the hyperscalers in the development of AI and datacentres, with growth being driven by Alphabet, Meta, Amazon and SpaceX. Furthermore, one of the team's key takeaways (link) from their recent trip to Singapore to attend Legrand's CMD and participate in various events was that datacentre growth remains very strong near term and is expected to remain in growth well into the 2030s.

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Value Creation in US Managed Lanes

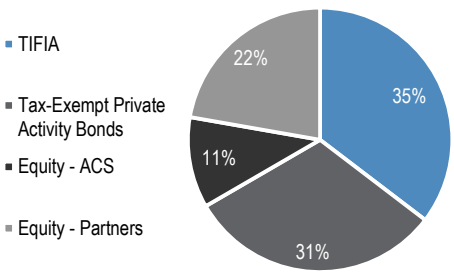
SR 400 Express Lanes

ACS plans to invest €1.5bn of equity into greenfield transport assets by the end of the decade, and €3bn by 2033, with this investment primarily comprising US Managed Lanes. The company has previous exposure to the space via the SH-288 motorway in Texas and in 2024 it was part of the consortium awarded the 56-year concession to design, build and operate the SR400 Express Lane in Atlanta. This "SR400 Peach Partners" consortium is jointly comprised of Meridiam, ACS Infrastructure and Acciona Concessions. Construction work will be performed by Dragados and Acciona Construcción while Parsons will be the designer. The project reached Financial Close on August 5, 2025, with all project financing being secured. Heavy construction began in April 2026 with the new express lanes anticipated to open in 2031.

The project entails adding two dynamically-tolled free-flow express lanes in each direction along an approximately 16-mile section of SR 400 from the North Springs MARTA Station in Fulton County to approximately 1 mile north of McFarland Parkway in Forsyth County. The SR 400 is the primary north-south link between Atlanta's job centres and the work and residential areas to the north in Fulton and Forsyth counties, and this work is one of 11 highway projects that comprise the Georgia Department of Transport's 'Major Mobility Investment Program' which aims to improve mobility and reduce congestion across the Atlanta metro area. The consortium says that Atlanta is the third-fastest growing city in the US and that 144,000 more residents and 114,000 more jobs are projected for the corridor by 2050, underpinning a constructive outlook for congestion over the duration of the concession.

Financing for the project comes from a combination of equity and debt that will include a TIFIA loan from the US Department of Transportation, as well as the issuance of taxable and tax-exempt bonds in the capital markets. The project has a total investment value of US$10.99bn, including a US$4.6bn construction value and an upfront concession fee to GDOT and SRTA of US$3.8bn. A low interest TIFIA loan of $3.89bn was secured and $3.44bn of tax-exempt private activity bonds (PABs) were placed in 2025. The remainder of the required financing will be equally provided by each partner on the project, with ACS therefore committing to inject $1.22bn of equity. We show the funding breakdown in Figure 24 and an overview of key figures in Figure 25.

Figure 24: SR400 Express Lanes – Financing Split



Source: Company reports.

Figure 25: SR400 Express Lanes – Key Details

SR400 Express Lanes	
Construction Time	5.5 years
Operational Period	50 years
Length	25km
Number of Lanes	2
Construction Value	$4.6bn
Upfront Fee	$3.8bn
Total Investment	$10.99bn
ACS Project Share	33.3%

Source: Company reports.

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Pipeline

In addition to the opening of the SR400 in 2031, ACS is hopeful of opening two other US Managed Lanes between 2030 and 2033. This prediction is based on a pipeline of five projects the company has pointed to as being awarded in the coming three years (Figure 26). Management also referred at Q2 to a possible tender for the Maryland-American Legion Bridge from mid- to late-2027. For context, Ferrovial has pointed to a similar pipeline, while also noting that it expects Nashville to tender further projects folowing the award of I-24, which the company would have a right of first refusal on as part of the deal for the I24 project. Ferrovial has also said, in a similar vein to ACS, that it expects to win one to two of these projects (note that Ferrovial said this before winning the I24) and that the combination of these projects' capital intensity and the volume of projects being tendered should ensure that there are sufficient opportunities to satisfy all the major bidders. Both Ferrovial and ACS have referred to a pipeline of further opportunities not yet announced, meaning we consider it likely that both players do indeed secure the projects they are seeking at some stage.

Figure 26: US Managed Lanes – Confirmed Pipeline

Project	Location	Number of Choice Lanes	Distance	Timeframe	Details
I-285 East Express Lanes	Atlanta, Georgia	2 in each direction	34 miles	Project award expected in mid to late October.	Two new barrier-separated express lanes will be constructed in each direction the highly congested ring road. The project is part of Georgia DOT's Major Mobility Investment Program (MMIP). An ACS-led consortium has been shortlisted.
I-285 West Express Lanes	Atlanta, Georgia	2 in each direction	12 miles	The request for qualification is expected before the end of 2026.	Two new barrier-separated express lanes will be constructed on the same ring road as the I-285 East Express Lanes project. The project is also part of Georgia DOT's Major Mobility Investment Program (MMIP).
I-77 South Express Lanes	Charlotte, North Carolina	2 in each direction	11 miles	Frozen indefinitely	A $3.2bn plan to upgrade and add express lanes to 11 miles of I-77 from the South Carolina state line to I-277/N.C. 16 (Brookshire Freeway) in Mecklenburg County.
I-495 SW	Alexandria, Virginia	2 in each direction	11 miles	No firm dates yet, studies into the project are proceeding.	The VDOT is considering the potential extension of the express lanes system on the southern section of the I-495 by 11 miles from the Springfield Interchange (I-95/I-395/I-495) in Fairfax County, Virginia, to the MD 210 Interchange in Prince George's County, Maryland.
I-65	Nashville, Tennessee	2 in each direction	Up to 20 miles	Not yet defined.	The TDOT is exploring the possibility of adding express lanes to the I-65 as its next project; the beginning of the tendering process would be expected to follow the award of the I-24.

Source: Company reports.

ACS's targets look for equity investments into US Managed Lanes of €1.5bn by 2030 and €3bn by 2033. Management has referred to that €1.5bn as "a project and a half more or less", suggesting that as a rule of thumb, the company expects to invest around €1bn in each US Managed Lane project it wins. US Managed Lanes have offered very attractive returns in recent decades, underpinning Ferrovial's success and commanding multiples as high as or even exceeding 40x EV/EBITDA in some transactions. Indeed, the reason Texas could profitably exercise its right to buy back the SH-288 from Abertis was that returns were in excess of those anticipated back in 2015. ACS estimates that "the lower end of the market nowadays for a project that is mature post construction is about six times equity", although it notes the SH-288 was as high as 10x, and this is the basis for the group's estimate that €3bn committed to these projects could represent an equity value of €18bn by 2033. This €15bn of value creation is c.52% of the total value creation ACS sees in greenfield infrastructure by 2033, which reflects that even while the company is pivoting towards next generation infrastructure, traditional transportation assets remain the core of its greenfield business.

I24 Southeast Choice Lanes

ACS was unsuccessful in its bid for the I24 Southeast Choice Lanes, with the Ferrovial-led consortium announced as the winners in August. As we show in Figure 27, Ferrovial won by offering to pay the State of Tennessee more than 3x as much in concession value payments as ACS's I-24 Choice Lanes Partners consortium. The share price reaction to Ferrovial's win has been negative, with the company derating amid investor concerns regarding the level of concession value offered by Ferrovial, the construction risk

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associated with a fixed price contract of this size and duration and the read-across for the likely terms of any further new concessions won all weighing on the shares.

Figure 27: I24 – Bids



Source: TDOT (link).

We do not expect ACS to win projects bidding in the manner Ferrovial did for the I24, but nonetheless expect the company to win the projects it is seeking over the rest of the decade. Ferrovial is ACS's primary rival for US Managed Lanes tenders, and it has made a substantial and long-term commitment at the I24. Ferrovial's capacity to keep bidding for projects in the coming years is likely to be constrained, both by the limits on the company's construction capacity and by the capital requirements of each project. Indeed, Ferrovial has previously referred to being content with one to two projects, and has stated that the pipeline is too sizeable for any one player to win each project. As such, we expect Ferrovial at some stage to cease bidding for new projects or to bid more conservatively, easing ACS's path. There are other competitors, notably Sacyr and Vinci, but ACS enjoys an advantage over both in terms of experience in the space and construction presence in the US.

Ultimately, the number of opportunities expected in the coming years and their scale in terms of both capital and construction requirements means that we see no reason why ACS should not be able to win two projects, given its scale across the US and its industry leading (after Ferrovial) experience in the US Managed Lanes space. We also do not expect the company to begin bidding more aggressively for the projects. Unlike Ferrovial, which is almost entirely focused on US Managed Lanes projects, ACS is pursuing greenfield opportunities across a number of growth areas. As such, and stressing in particular the growth the company is enjoying as a result of the datacentre build-out, we see little pressure for management to bid in a less disciplined manner: ACS has no shortage of attractive capital allocation opportunities in the next few years, and there is a clear pipeline of US Managed Lanes projects that exceed the capacity of its primary rival in that space.

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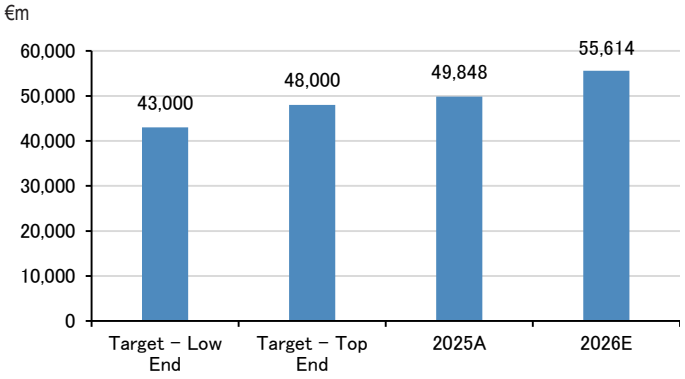
Upcoming CMD Offers Catalyst

ACS will host a CMD in Madrid on 12 November, following the publication of Q3 results in the morning and the Q3 results presentation. Management has communicated that the event will be more similar to 2024's CMD than 2025's Investor Day – a full update on the business, across all divisions. However, while in 2024 management unveiled a new reporting structure and sought to introduce a new version of ACS and a new strategy to the market, we expect greater continuity this time. The focus will be on the financial targets the company sets out, with a new set of multi-year targets expected to replace the 2024-26 targets ACS set out at its 2024 event. Bloomberg consensus looks for an 8% revenue CAGR and a 15% net income CAGR over the 2027-30 period, with forecast growth rates slowing markedly in 2029 and 2030. ACS's de-rating this year has been driven by investors' concerns that ACS's datacentre driven growth trajectory is not sustainable beyond the next couple of years. As such, we would expect guidance that looks for ACS to sustain its growth up to the end of the decade (exceeding consensus in the outer years) to provide reassurance to investors on this key debate and to be well received by the market. Below, we outline our views on what is likely across four key areas.

Earnings Targets

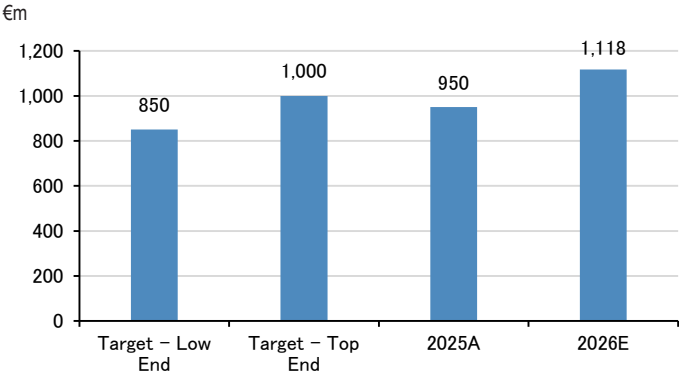
ACS is expected to set out a new set of three-year targets for the group at the CMD, to replace the 2024-26 targets set out at the 2024 CMD. In 2024, targets were set for revenue and net profit. As we show in Figure 28 and Figure 29, the company is on track to comfortably exceed these targets, with the top end of the revenue range and the midpoint of the net income range exceeded a year early in 2025. ACS also increased its guidance at HY results after tracking ahead of its initial guidance for 2026, and the company is on track to meet the lower end of its 2030 guidance range for datacentre revenues in 2026. As such, we would stress that ACS's targets are usually on the conservative side, and would expect investors to have this in mind when assessing the guidance provided at the CMD in November.

Figure 28: ACS – 2024-26 Revenue Targets



Source: Company reports and J.P. Morgan estimates.

Figure 29: ACS – 2024-26 Net Profit Targets

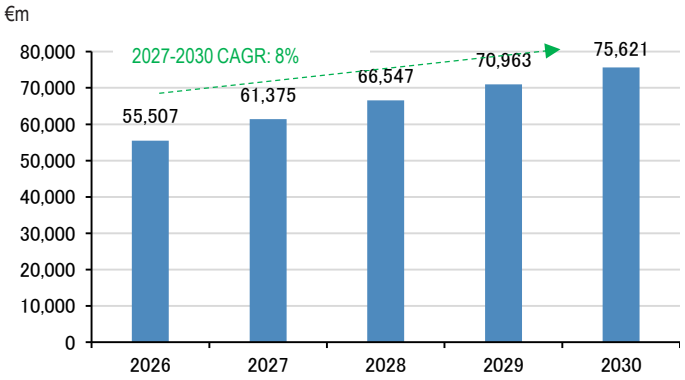


Source: Company reports and J.P. Morgan estimates.

We show in Figure 30and Figure 31Bloomberg consensus expectations for the 2027-29 period. In Figure 32 and Figure 33 we show that while consensus is broadly comfortable with the sustainability of ACS's growth in the next couple of years, the forecast growth rates decrease materially as we approach 2030. We expect ACS to provide guidance for the group out to either 2029 or 2030. If this guidance affirms the sustainability of ACS's

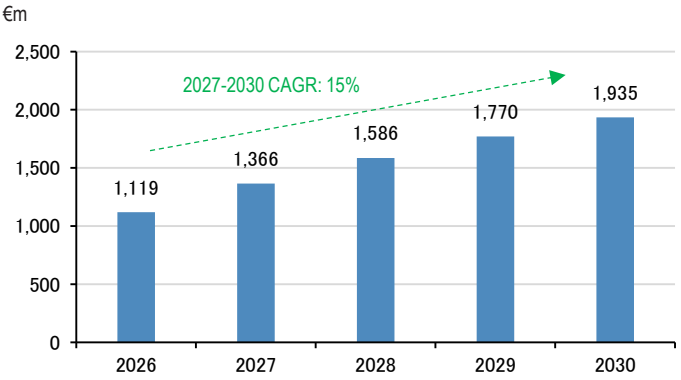
growth beyond 2027/28, allowing for upgrades to consensus in these outer years, we would expect this to assuage the concerns among investors that have driven the derating this year, namely that ACS's datacentre driven growth is not sustainable beyond the next couple of years.

Figure 30: ACS – 2027-30 Consensus Revenue



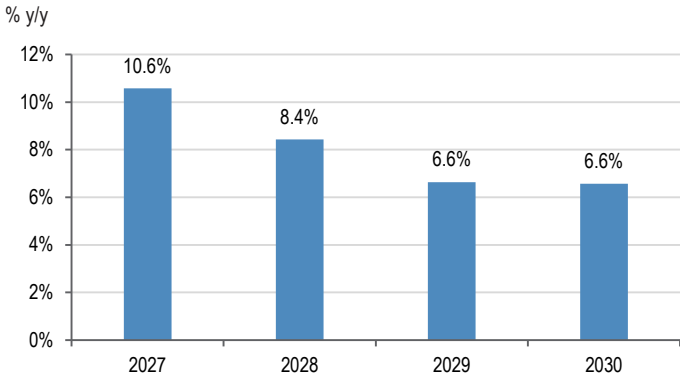
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 31: ACS – 2027-30 Consensus Net Profit



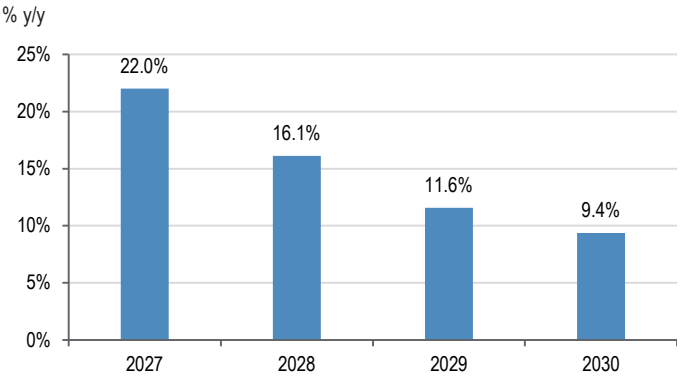
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 32: ACS - 2027-30 Consensus Growth Rate of Revenue



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 33: ACS - 2027-30 Consensus Growth Rate of Net Profit



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Growth Outlook

We expect the company to provide an update on the opportunities it sees across the high growth areas it is targeting. While we expect no change in the overall message: that ACS is orienting itself to benefit from growth opportunities in datacentres, defence, critical minerals, semi-conductors and nuclear (see Figure 34for the summary of the 'infrastructure waves' the company hopes to ride, which it provided at its 2025 Investor Day) – we expect the messaging on datacentres to be keenly observed, and expect a greater focus on the opportunities in nuclear and critical minerals than at previous events.

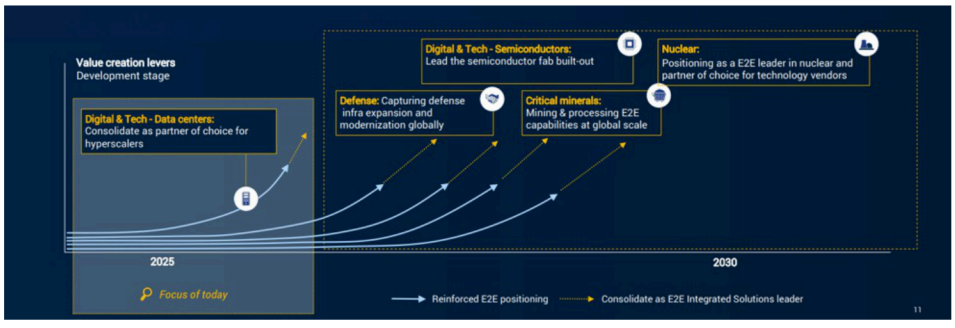
Regarding **datacentres,** we do not expect any substantive changes, given that the 2025 event focused heavily on datacentres with a clear strategy set out. However, we do expect commentary on recent developments to be an area of focus for investors into the event. Our expectation is that management will speak with confidence, assuring that their conversations with hyperscale clients have suggested no signs of slowing appetite for datacentre construction. Indeed, it is probable that the company raises its guidance for ACS's datacentre contracting activity. ACS gave two key pieces of group-level

guidance for its E&C datacentre activity as a whole at the 2025 event: E&C revenues of €20-25bn by 2030 (vs at the time, €9bn expected in 2025) and E&C EBITDA of €1.2-1.3bn by 2030 (vs. the €0.5bn predicted for 2025 at the time of the CMD). Management said in the Hochtief Q2 26 conference call that there is a clear need to update these numbers in light of the market's strong trends and the growth ACS is achieving. Indeed, management noted that group revenues from datacentres were expected to exceed €20bn in 2026, four years ahead of schedule. Management went on to say that "Last time we updated, which was three months ago, we came up with a EUR30 billion number by 2030, but we haven't updated, right? We need to do some work on that number. But there's a need to continue updating numbers with what we're saying."

In **nuclear**, we expect the company to emphasise the opportunities offered by its experience within the state and its global presence. With opportunities evident across the nuclear value chain given the number of European nuclear plants approaching decommissioning, ongoing efforts to extend their lifetimes, a clear desire in many countries to build new nuclear power plants and a potential build-out of SMRs over the next decade, the company is likely to emphasise the scale of the opportunity and the likelihood that ACS will capture a significant portion of this activity. This is regarded as a particularly salient opportunity for Hochtief Engineering & Construction, given its experience and existing presence, particularly within Europe.

In **critical minerals**, an opportunity is seen for CIMIC, particularly for Sedgman (which describes itself as 'the cornerstone of ACS Group's global critical minerals platform' (link) and for Thiess, which CIMIC returned to full ownership this year (link) following the sale of Thiess into a joint venture in 2020. We expect management to dwell on the existing backlog and volume of projects won in recent years as a means of emphasising ACS's presence within the space (particularly within APAC and the Americas) and the scope for the company to benefit from the increased investment in the space expected in coming years as a result of both rising demand and a growing desire among governments for sovereign supplies.

Figure 34: ACS – Infrastructure Waves



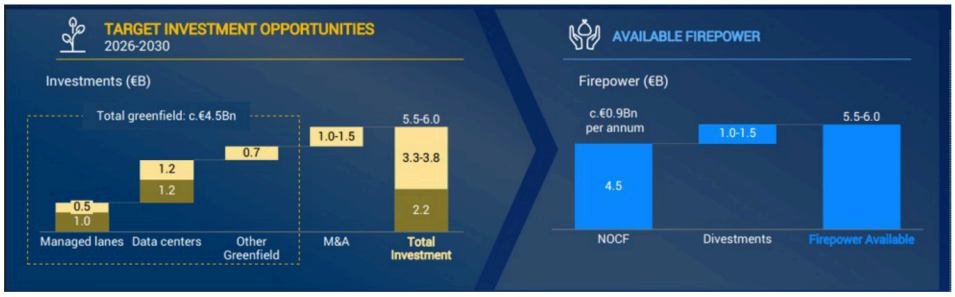
Source: Company reports.

Capital Allocation

We do not expect any material changes to the capital allocation framework, given that the company set out an updated 2026-30 roadmap at its 2025 Investor Day. This roadmap assumes that ACS achieves operating cash flows of ~€1.5bn per year, with around €600m of this distributed as dividends each year. Dividends are based on a 65% payout ratio, which the group has repeatedly affirmed its commitment to and where we do not expect any change. This offers remaining firepower of ~€4.5bn over the period, which will be used to fund greenfield investments. A further €1-€1.5bn should be

realised from divestments of non-core assets (most notably the group's services business Clece) which is earmarked to fund M&A activity. This M&A is primarily targeted at securing capabilities, skilled labour and platforms that support ACS's growth strategy in higher tech and structurally growing sectors within infrastructure. We discuss the existing capital allocation framework in our *First Principles* note on ACS.

Figure 35: ACS – Capital Allocation 2026-30



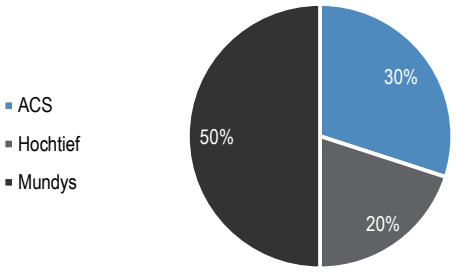
Source: Company reports.

Although we do not expect a change to the overarching capital allocation framework, a focus on the greenfield investments being pursued and the opportunities for value creation seen is likely. At the Q2 ACS results call, management referred to these assets as "our big bet, where the value is going to be in ACS," calling out in particular "data center platform in Coravel, data center platform in ACS Digital & Energy, managed lanes, Abertis, and energy and industrial projects." An update on progress on datacentre investments, particularly towards commercial milestones at the Waterford site and among the assets included in the Coravel is likely, while regardless of the result at the I285 East investors will welcome an update on the company's bidding strategy for US Managed Lanes.

Abertis

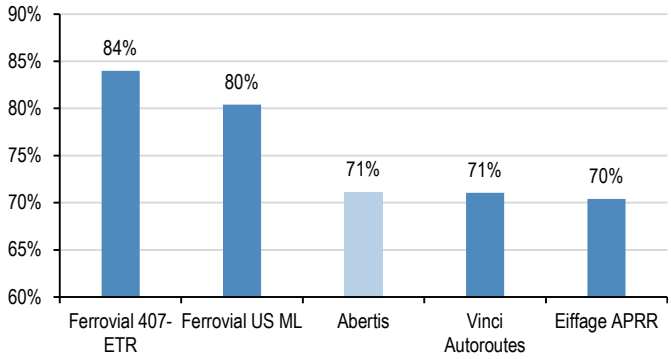
Contrary to the picture across much of the ACS Group, Abertis has been regarded as an area of concern for investors for a number of years. ACS, Hochtief and Mundys acquired the brownfield toll road operator in 2018. We show Abertis's shareholder structure in Figure 36. Since the acquisition, investors have been concerned by the company's indebtedness, which as shown in Figure 37 remains elevated relative to toll road peers, and the upcoming expiry of its concessions to SANEF at the end of 2031 and SAPN in 2033. French toll roads represented ~35% of EBITDA in 2025.

Figure 36: Abertis – Shareholder Structure



Source: Company Reports.

Figure 37: Toll Road Operators – 2025 Consolidated ND/EBITDA Ratio



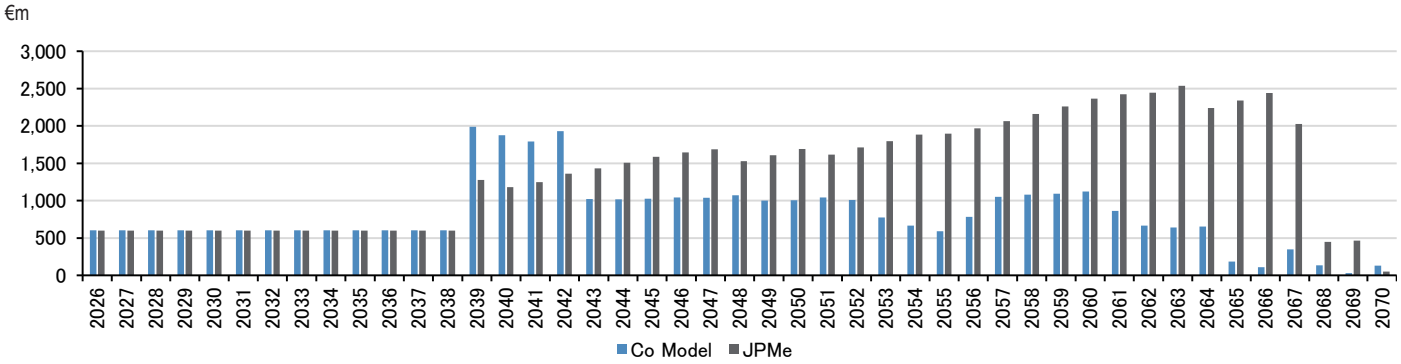
Source: Company Reports.

Management has repeatedly expressed confidence in the outlook for Abertis, and its belief that the value of ACS's stake in the company is not fully appreciated by the market. Supported by equity injections from its parents, Abertis has secured a number of new assets and extensions to key concessions in recent years. Notably, Abertis announced in May the extension of its FARAC concession in Mexico from 22 years to over 41 years (toll roads in Mexico accounted for ~14% of EBITDA in 2025). We expect the company to seek to demonstrate that the existing portfolio can sustain EBITDA growth beyond 2031 even without any renewal of the SANEF concession or the company winning any re-tendered French toll road concessions, and to confirm that the company is now in a position to generate sufficient FCF to deleverage and fund portfolio renewals/extensions from its own resources without continuing to rely upon equity injections from its parents.

Figure 38shows the dividend distributions ACS presented in its Abertis model at the 2024 CMD, and the dividends we project in our own Abertis model. In both cases, only the existing portfolio is considered, with no concession renewals or extensions assumed. Both models assume that net debt must be entirely repaid by the point the portfolio has entirely expired and both models assume the present €600m dividend is maintained for the coming decade. In the long term, our projections imply significantly greater FCF available for dividend distributions and investment in maintaining/increasing the portfolio's duration. This difference owes to the company's success in recent years in its efforts to increase its EBITDA backlog (with the effect of the FARAC extension until 2067 particularly significant) and offers a sense of the scope for management to deliver good news on the outlook for the dividends ACS receives from Abertis.

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Figure 38: Abertis – Dividend Projections



Source: Company reports and J.P. Morgan estimates.

We also expect that the company will provide a more granular update on the model it issued for Abertis in 2024, with greater detail provided on an asset-by-asset basis. The hope will be that this visibility offers investors greater confidence in Abertis's business plan, and helps to crystallise some of the value ACS sees in its Abertis stake. We note that our 2033 EBITDA is materially below management guidance for the current portfolio to achieve EBITDA of ~€4.7bn by 2033. If the greater detail on Abertis provided at the CMD provides the visibility necessary for us to alter our medium and longer term assumptions and sit in line with this guidance this would provide a further source of upside in valuation.

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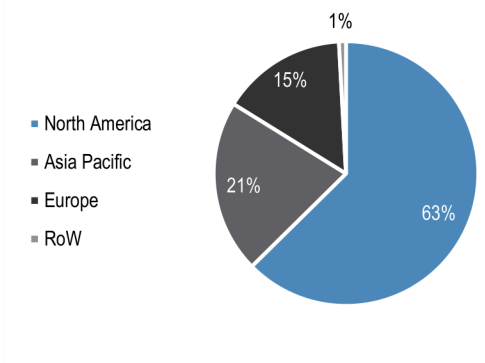
A US Listing Could Offer Valuation Upside

An option that we consider available to ACS in the coming years is to pursue a listing in the US. There are two obvious paths we envisage: **1)** Either ACS or Hochtief could take a secondary listing in the US, creating a dual listing similar to Ferrovial's; or **2)** A portion of Turner's shares could be separately listed in New York, creating a corporate structure similar to ACS's pre-2022, when ACS, Hochtief and CIMIC were all separately listed across Spain, Germany and Australia.

A separate listing for Turner, offering more direct datacentre and US exposure than the ACS or Hochtief shares, could potentially crystallise some of the value offered by these exposures. However, it would have the disadvantage of re-introducing a third separately listed company into the group. The group has made a concerted effort over the last decade to reduce the complexity of its corporate structure and to increasingly integrate its businesses, and the de-listing of CIMIC was a significant step in this process. We therefore consider it more likely that management would pursue a US listing for Hochtief or ACS, offering exposure to a deeper pool of investors and the higher multiples potentially attainable on US equity markets while avoiding further complication of the corporate structure.

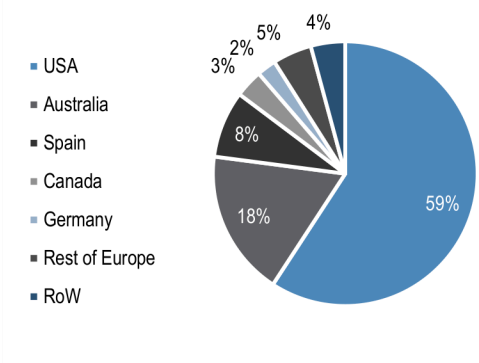
Unlike Ferrovial, whose equity story is heavily oriented towards complex concession assets in a manner that is unfamiliar to US investors, ACS's largely contracting-based business and datacentre growth story could offer a potentially more straightforward pitch to US investors. As we show in Figure 39 and Figure 40, a US listing would make sense, given the orientation of the group's activities towards the US. As well as offering access to new investors and potential multiple expansion, a listing could also bring increased passive inflows if the shares gain admission to major US indices.

Figure 39: ACS – Sales Split by Region



Source: Company reports.

Figure 40: ACS – Sales Split by Country



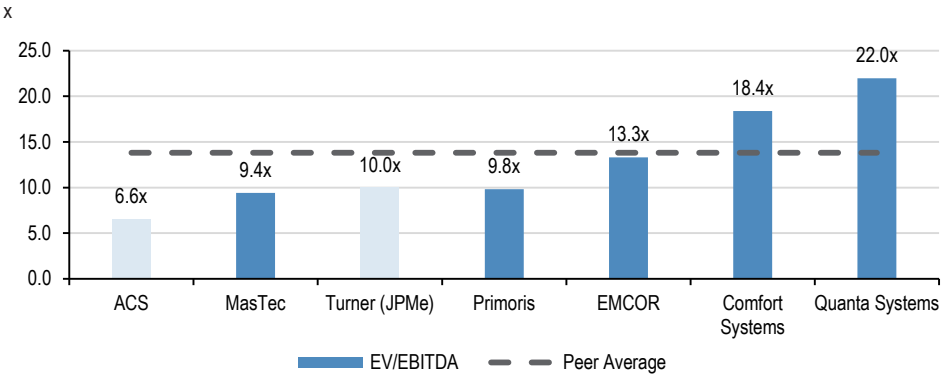
Source: Company reports.

Listing Turner separately, while not a path we expect management to pursue, could be a means of value crystallisation when sentiment towards datacentre activity improves. As we show in Figure 41, ACS trades at a ~55% discount to US specialist contractors operating in the datacentre space, while the multiple we use for Turner in our SOTP implies a ~31% discount. We acknowledge that the businesses are not directly comparable – construction management offers materially lower margins – but this is still a substantial discount given that we estimate that ~52% of our revenue forecast for Turner this year and ~32% of ACS group revenues will be achieved within the

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datacentre space and is therefore exposed to the same growth drivers.

Figure 41: ACS/Turner 2027E EV/EBITDA multiple vs. US Specialist Contractors



Source: Bloomberg Finance L.P. Priced as of cob 14 Oct 2026.

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Estimates & Valuation

Estimates

We publish our first set of estimates for ACS over the next three years.

Figure 42: ACS – Estimates

€m

	Current Estimates		
	2026E	2027E	2028E
Turner	30,688	35,683	39,251
CIMIC	10,888	11,158	11,437
Engineering & Construction	11,175	11,893	12,488
Infrastructure	293	299	305
HQs and non-core activities	2,570	2,570	2,570
Revenue	**55,614**	**61,603**	**66,051**
Turner	1,258	1,534	1,766
CIMIC	1,317	1,350	1,384
Engineering & Construction	725	771	810
Infrastructure	235	220	244
HQs and non-core activities	-58	-58	-58
EBITDA	**3,478**	**3,818**	**4,147**
Net Income	**1,118**	**1,335**	**1,548**

Source: J.P. Morgan estimates.

We also show in Figure 43how these estimates compare to Bloomberg consensus. Overall, we sit broadly in line with consensus.

Figure 43: ACS – JPMe vs. Bloomberg Consensus

€m

	JPMe			Consensus			JPMe vs. Consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	55,614	61,603	66,051	55,507	61,375	66,547	0.2%	0.4%	-0.7%
EBITDA	3,478	3,818	4,147	3,469	3,852	4,184	0.3%	-0.9%	-0.9%
Net Income	1,118	1,335	1,548	1,119	1,366	1,586	-0.1%	-2.2%	-2.4%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

JPMe Valuation

Given the companies' conglomerate structure, we use a SOTP valuation to capture the value of each division, in line with our methodology for the other European Contractors and Toll Road operators. We set out our framework for each division below and assume that ACS holds an 80.32% stake in Hochtief and its divisions, in line with the shareholding ACS disclosed (inclusive of treasury shares) in its *2025 Annual Report*.

- **Turner.** Given Turner's orientation towards higher tech and higher growth areas, and the momentum it enjoys in both earnings growth and margin expansion, a multiple in line with those we use for other construction companies would not be reasonable, in our view. We consider the closest comparison within our coverage to be Vinci Energies and Cobra IS, where our valuation implies a ~10x EV/EBITDA. These companies do not enjoy Turner's level of growth but do have materially higher EBITDA margins, so we apply the same multiple but note that Turner's level of earnings growth renders this a conservative assumption in our view.

- **CIMIC.** CIMIC does not enjoy Turner's growth outlook and has seen its momentum stall so far this year. Nonetheless, the division is exploring higher growth verticals and we expect greater growth in the coming years than for the construction divisions at ACS's peers. Moreover, the ~12% EBITDA margin posted in 2025 is significantly higher than generally enjoyed by contracting divisions across our coverage, with even Vinci's higher quality Energy Solutions businesses only achieving ~9%. As such, we consider a 9x multiple reasonable – broadly in line with Vinci's Energy division, which enjoys greater growth momentum at present but has materially lower margins.
- **Engineering & Construction.** Given that the division is focused on more traditional civil engineering work, we apply a 4x EV/EBITDA multiple, in line with the multiples we use for Webber and Ferrovial Construction (we use 6x multiples for Vinci and Eiffage's construction divisions, but those are EV/EBIT multiples). To determine ACS's overall stake in the division we use an average of ACS's stake in Flatiron Dragados, its stake in the rest of Dragados, and its stake in Hochtief Europe and weight this average according to the weighting of those three businesses in the division's 2025 sales. The calculation is shown in Figure 45.
- **Abertis.** We estimate ACS's overall stake in Abertis at ~46%, after accounting for ACS's 30% direct stake and the share of Hochtief's 20% stake that is attributable to ACS. We value Abertis on a DCF basis, and account for each asset until its expiry. We assume no value creation from new asset wins, concession extensions etc. We use a LT traffic growth of assumption of 1.5% and, given that tariffs are generally inflation linked, a long-term tariff growth assumption of 2%. Regarding key WACC assumptions, we use an equity risk premium of 5% (in line with our assumption for Vinci's brownfield assets) and the yield on Spanish government debt as the risk free rate.
- **Greenfield Infrastructure.** We value ACS Digital & Energy, Iridium, Hochtief PPP Solutions and Pacific Partnerships in line with the most recent reported level of invested capital (at Q2). This approach is in line with our valuation of other unopened greenfield projects, such as Ferrovial's NTO, and we consider it more prudent in our base case than attempting to apply a multiple on equity invested at different stages of a project's development. We do not separately account for Hochtief's minorities in Hochtief PPP Solutions and Pacific Partnerships as ACS reports the capital invested in these projects as ACS's stake only. Within Iridium, we also apply a 10x EV/EBITDA multiple to capture the value of those asset which are operational and generating earnings.
- **HQ.** We account here for the share of the ACS group's net debt which is not accounted for in the net debts of the three contracting divisions and Iridium. We use the reported 2025 Net Debt for each of the three contracting divisions and for Iridium – we do not forecast net debt at divisional level – and subtract this from our forecast for group net debt in 2027. Overall, this means total net debt accounted for in our Dec-27 PT aligns with our 2027E ACS net debt estimate.

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Figure 44: ACS – JPMe SOTP Valuation

€m

	Stake Owned	2027E EBITDA	EV/EBITDA	100% EV	Net Debt	Minority	Equity Value	Value/Share	Comments	% of ACS Group
Contracting		**3,656**	**8.4**	**30,581**	**-3,796**	**6,165**	**28,212**	**103**		**81%**
Turner	80.32%	1,534	10.0	15,344	-3,271	3,663	14,951	55	EV/EBITDA	43%
CIMIC	80.32%	1,350	9.0	12,151	1,368	2,122	8,661	32	EV/EBITDA	25%
Engineering & Construction	92.38%	771	4.0	3,086	-1,893	380	4,599	17	EV/EBITDA	13%
Infrastructure						**6,174**	**8,109**	**30**		23%
Abertis	46.06%	4,104	8.1	33,286	21,839	6,174	5,273	19	DCF	15%
ACS Digital & Energy	50%						910	3	Invested Capital	3%
Iridium	100%	45	10	1,049	-467	0	1,516	6	Invested Capital & EV/EBITDA	4%
Hochtief PPP Solutions & Pacific Partnerships	100%						410	1	Invested Capital	1%
Other		**-60**		**0**	**2,697**	**0**	**-1,624**	**-6**		-5%
HQ & non-core		-60		0	2,697	0	-2,697	-10		-8%
Treasury Shares							1,074	4		3%
Total							**34,697**	**126.6**		
Number of shares							274			
Fair value per share							**127**			
Current share price							90			
% Upside /(Downside)							**41%**			

Source: J.P. Morgan estimates.

Figure 45: Engineering & Construction – ACS Stake Estimation

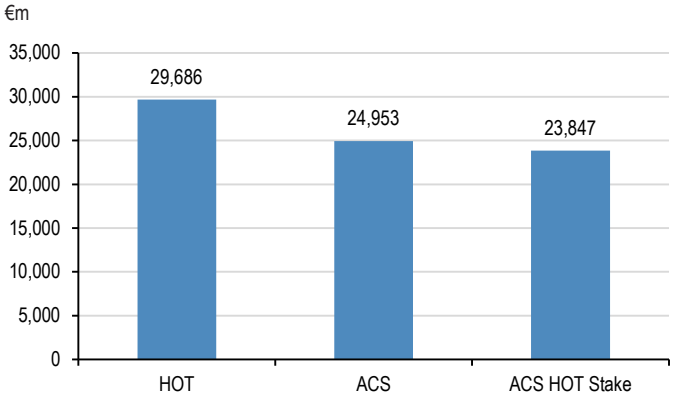
Engineering & Construction	2025 Sales (€m)	Weighting in E&C	ACS Direct Stake	HOT Stake	ACS stake, via HOT	Overall ACS Stake
Dragados, ex Flatiron Dragados	2,562	24.2%	100.0%	0.0%	0.0%	100.0%
Flatiron Dragados	6,366	60.0%	61.8%	38.2%	30.7%	92.5%
Hochtief Europe	1,676	15.8%	0.0%	100.0%	80.3%	80.3%
Total	**10,604**	**100.0%**	**61.3%**	**38.7%**	**31.1%**	**92.4%**

Source: Company reports and J.P. Morgan estimates.

Hochtief Market Valuation – Implications for ACS

As we show in Figure 42, ACS's ~80% stake in Hochtief now accounts for ~96% of ACS's equity value. Figure 47 demonstrates that this has not always been the case. Indeed, at the midpoint of 2025, ACS's stake in Hochtief represented only 65% of its market cap.

Figure 46: ACS & Hochtief – Market Cap



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 47: ACS Stake in Hochtief – % of ACS Market Cap



Source: Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

In Figure 48we show our valuation of ACS when its stake in Hochtief is excluded. We ascribe zero value to Turner and CIMIC, given that both are wholly owned by Hochtief; in Engineering and Construction, we only include the share of the division which we consider ACS to directly own (Figure 45) i.e. Dragados and ACS's share in FlatironDragados. For Abertis, we credit ACS with 30% of its equity value, reflecting that ACS holds a 30% direct stake in Abertis, but we exclude Hochtief's 20% stake for this analysis. For HQ level debt, we use the consolidated FY25 HQ level debt reported for ACS (€4,246m) but exclude the €2,071m Hochtief reported at FY25 as HQ level debt.

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Figure 48: ACS – JPMe SOTP Valuation Excluding Hochtief Stake

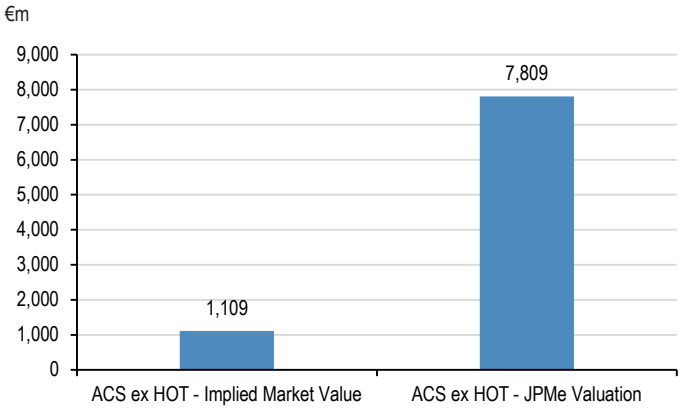
€m

	Stake Owned	2027E EBITDA	EV/EBITDA	100% EV	Net Debt	Minority	Equity Value	Value/Share	Comments	% of ACS Group
Contracting		**3,656**	**8.4**	**30,581**	**-3,796**	**31,326**	**3,050**	**11**		**39%**
Turner	0.00%	1,534	10.0	15,344	-3,271	18,615	0	0	EV/EBITDA	0%
CIMIC	0.00%	1,350	9.0	12,151	1,368	10,783	0	0	EV/EBITDA	0%
Engineering & Construction	61.26%	771	4.0	3,086	-1,893	1,929	3,050	11	EV/EBITDA	39%
Infrastructure						**8,013**	**5,860**	**21**		**75%**
Abertis	30.00%	4,104	8.1	33,286	21,839	8,013	3,434	13	DCF	44%
ACS Digital & Energy	50%						910	3	Invested Capital	12%
Iridium	100%	45	10	1,049	-467	0	1,516	6	Invested Capital & EV/EBITDA	19%
Hochtief PPP Solutions & Pacific Partnerships	0%						0	0	Invested Capital	0%
Other		**-60**		**0**	**2,175**	**0**	**-1,101**	**-4**		**-14%**
HQ & non-core		-60		0	2,175	0	-2,175	-8		-28%
Treasury Shares							1,074	4		14%
Total							**7,809**	**28.5**		
Number of shares							274			
Fair value per share							**28**			

Source: J.P. Morgan estimates.

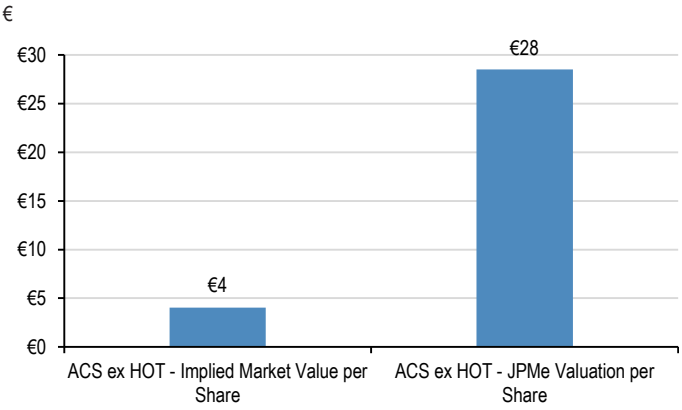
Our valuation suggests a value of ~€28 per share for ACS outside of Hochtief, ~22% of our valuation of ACS. As we show in Figure 49, this compares to an implied market valuation of ~€4 per share. Figure 50shows that we see ~€6.7bn more equity value in ACS outside of Hochtief than the market is implying in its valuation of the two companies.

Figure 49: ACS excluding Hochtief Stake – Implied Market Value vs JPMe Equity Value



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Figure 50: ACS Excluding Hochtief Stake – Implied Value per Share vs JPMe Value per Share



Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of COB 14 Oct 2026.

Q3 Preview

ACS will report its Q3 earnings pre-market opening on 12 November and host a CMD in Madrid on the same day. Hochtief will have already reported Q3 numbers on 5 November. Overall, we see ACS reporting revenue rising ~14% and EBITDA up ~12%, with Turner's revenue growth and margin expansion remaining the group's key driver of growth. Regarding the numbers, we therefore expect the focus to be on Hochtief's print, with investors particularly interested in management commentary regarding the datacentre build-out and their confidence in Turner's earnings momentum heading into 2027. With the majority of earnings already reported by Hochtief, we expect that when ACS reports, the focus will be on the CMD, where we expect management to issue earnings guidance for the next three years and to provide a confident update on the outlook across the group.

- **We forecast ACS revenue up 13.9% y/y.** We forecast Turner to post growth of 21.5%, a slight sequential acceleration driven by easing FX pressures, and to

achieve revenue of ~€8bn. We expect CIMIC report revenue growth of 6.6% to ~ €2.9bn; this is entirely driven by FX tailwinds with our LFL growth assumption slightly negative. Within Engineering & Construction, we cautiously assume a sequential slowing in revenue growth at Dragados but expect that Hochtief E&C returns to growth in the quarter. Overall, we see the division growing revenues 5.8% to ~€2.8bn. We expect infrastructure revenues of €109m and assume flat revenues y/y of €629m at Holding level.

- **We expect ACS EBITDA to grow 12.5% y/y.** We expect Turner to post ~32% EBITDA growth and achieve €308m in EBITDA, with margins expanding ~30 bps y/y, which is still less than the margin expansion posted in H1. We forecast CIMIC EBITDA of €344m, up 6.5% y/y, driven entirely by revenue growth with margins flat y/y. We forecast Engineering & Construction EBITDA of €167m, with margins continuing to expand y/y at both Dragados and Hochtief E&C. Within Infrastructure, we expect a slightly higher result from Abertis y/y (in line with the FY26 guidance Hochtief reiterated at H1 for a flat result on a FY basis) and assume a decline y/y in Iridium EBITDA. We assume a flat result y/y for HQ and non-core activities.

Figure 51: ACS – Q3 Estimates

€m

	Q3 26E	Q3 25A	JPMe y/y
Turner	7,952	6,543	21.5%
CIMIC	2,902	2,723	6.6%
Engineering & Construction	2,807	2,653	5.8%
ow Dragados	*2,357*	*2,221*	*6.1%*
ow Hochtief E&C	*449*	*432*	*4.0%*
Infrastructure	109	96	13.5%
HQs and non-core activities	629	629	0.0%
Total Revenue	**14,399**	**12,644**	**13.9%**
Turner	308	234	31.7%
CIMIC	344	323	6.5%
Engineering & Construction	167	149	12.1%
ow Dragados	*135*	*121*	*11.3%*
ow Hochtief E&C	*32*	*28*	*16.1%*
Infrastructure	*77*	93	-16.7%
ow Abertis	*31*	*29*	*8.5%*
ow Iridium	*46*	*63*	*-27.0%*
HQs and non-core activities	-16	-16	-1.7%
EBITDA	**881**	**783**	**12.5%**
Turner EBITDA Margin	3.9%	3.6%	0.3 ppts
CIMIC EBITDA Margin	11.9%	11.9%	0.0 ppts
E&C EBITDA Margin	6.0%	5.6%	0.3 ppts
Iridium EBITDA Margin	42.2%	65.6%	-23.4 ppts
HQ & non-core EBITDA Margin	-2.5%	-2.5%	0.0 ppts
EBITDA Margin	**6.1%**	**6.2%**	**-0.1 ppts**
EBIT	**640**	**555**	**15.3%**
PBT	**484**	**396**	**22.2%**
Net Profit	**279**	**204**	**36.7%**

Source: J.P. Morgan estimates.

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Figure 52: Hochtief – Q3 Estimates

€m

	Q3 26E	Q3 25A	JPMe y/y
Turner	7,952	6,543	21.5%
CIMIC	2,902	2,723	6.6%
Hochtief E&C	449	432	4.0%
Holding Level	41	41	0.0%
Total Revenue	**11,344**	**9,739**	**16.5%**
Turner	308	234	31.7%
CIMIC	344	323	6.5%
Hochtief E&C	32	28	16.1%
Abertis & Holding Level	(38)	(38)	0.0%
EBITDA	**647**	**547**	**18.2%**
Turner EBITDA Margin	3.9%	3.6%	0.3 ppts
CIMIC EBITDA Margin	11.9%	11.9%	0.0 ppts
Hochtief E&C Margin	7.2%	6.5%	0.8 ppts
Holding Level Margin	-92.9%	-92.9%	0.0 ppts
EBITDA Margin	**5.7%**	**5.6%**	**0.1 ppts**

Source: J.P. Morgan estimates.

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Risks

In Figure 53 we set out some of the key risks to ACS and to our OW rating. In our view, the most salient and immediate risk is that of a slowdown in the growth of datacentre construction, which is a key concern among investors and a major debate at present. We also highlight the risk of ACS bidding overly optimistically for new projects, given the competitive environment for new US Managed Lanes tenders, which has proven to be a significant issue for Ferrovial in recent months.

Figure 53: ACS – Key Risks

Risk	Description
Datacentre Growth	The datacentre buildout has been a key driver of growth for ACS in recent years. A slowing in the pace of datacentre construction, whether because of a slowdown in the willingness of hyperscale clients to keep investing or as a result of opposition to the facilities being built, would have implications both for top-line growth and for margins at ACS (which have expanded largely as a result of higher margin datacentre activity).
Construction Risk	Construction projects carry risks of cost overruns, issues with permitting, safety issues. ACS has made significant progress de-risking its contracting backlog, entering into more contracts that allow for cost pass trhough or risk sharing with clients. However, these risks remain salient, particularly where ACS has made equity commitments to projects - such as the Waterford datacente project, the datacentres being built through Coravel or the SR-400 and any other Managed Lanes projects the company wins.
Bidding Risk	ACS is bidding for new US Managed Lanes projects. While the projects typically offer highly attractive returns and any project win is likely to be well received, the bidding process is highly competitive. If ACS bids with insufficient discipline there is a risk the company wins a project on terms that the market considers unattractive, which given the level of construction and traffic risk in such projects could prove a headwind for the shares.
Equity Dilution	ACS conducted an equity raise earlier this year, which the company said was primarily to fund acquisitions. If management seeks further funding for growth through equity issuance this could prove dilutive for shareholders and become a concern among investors, creating risk for the shares if ACS pursues this option again.
Macroeconomic Risks	While ACS's geographic diversification offers some protection, a macroeconomic downturn in key markets could affect the willingness of clients to invest in new projects and therefore affect ACS's activity.
Political Risk	Government fiscal policy could significantly affect demand for the civil engineering projects that underpin ACS's contracting businesses, while budgetary pressures could also lead ACS's public sector clients to become more demanding in contract terms and more litigious.
Exchange Rate Risk	ACS reports in EUR, but in 2025 only 21% of its sales were in Europe, leaving the company with significant exposure to exchange rate movements. In particular, with 59% of sales in the US and 18% in Australia, a devaluation of the USD or AUD would be a clear headwind for the company.

Source: J.P. Morgan.

Equity Raise

ACS announced in May that it was conducting an equity raise, issuing 5,433,291 shares (~2% of the existing share count). At the same time, the company announced that it would be terminating two equity swap transactions it entered into with Société Générale, Sucursal en España and CaixaBank in 2023, which were no longer necessary to fulfill the company's commitments under its LTIP. This resulted in the banks selling 11,120,000 shares (~4% of the existing share count) in ACS that the banks held to hedge their positions. ACS received ~€1,100m as a result of the termination of the swap transactions, and ~€679m from the equity raise.

ACS has communicated that the purpose of the equity raise was to fund an acceleration in the group's investment strategy, primarily in equity commitments to datacentre

projects, while providing greater financial flexibility and alleviating any pressures on the group to divest stakes in projects while significant crystallization of value could still be achieved from progressing the projects. In addition, ACS sees opportunities in the modularisation of datacentre construction in the US and potentially in some brownfield assets, and the equity raise was designed to provide the group with the flexibility to potentially explore these opportunities.

Given the net cash position we forecast for the group at the end of the year, we do not expect management to conduct further equity raises, especially given the share price decline since the equity raise was conducted in May. Indeed, the company have been clear that they regard the activity as a one-off, and that it should not be taken as indicate of how future growth investments will be financed. Nonetheless, the possibility of a repeat remains a downside risk for the shares, with any further moves to dilute existing shareholders likely to be received negatively by the market.

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Investment Thesis, Valuation and Risks

ACS *(Overweight; Price Target: €127.00)*

Investment Thesis

Following a significant share price decline, largely driven by deteriorating sentiment towards data centres (~30% of 2026E revenues), we see a compelling entry point into a business whose growth prospects remain firmly intact. We believe the market is underestimating both the visibility and the longevity of ACS's data centre growth, with its secured backlog already underpinning consensus expectations and a substantial pipeline of additional opportunities pointing to upside through 2030. The November 12 CMD should prove a key catalyst, with management guidance potentially dispelling fears of a slowdown and resetting medium-term growth expectations above consensus. Beyond datacentres, we see a striking valuation disconnect: ACS's 80% stake in Hochtief now accounts for 96% of its current market capitalisation, implying the market is offering the rest of ACS almost for free and suggesting material upside in the valuation of these parts of ACS. Importantly, our SOTP valuation does not yet capture the potential value creation from US managed lanes or ACS's direct investments in data centre assets, providing further upside optionality. A potential US listing could offer an additional catalyst to crystallise value and narrow the valuation gap with US peers.

Valuation

We use a Sum-of-the-Parts (SOTP) methodology to calculate our price target. Our SOTP calculation, which we show below, is based on EV/EBITDA multiples for the contracting businesses, a DCF for Abertis and for greenfield projects we value them at equity invested.

Figure 55: ACS - SOTP Valuation

	Stake Owned	2027E EBITDA	EV/EBITDA	100% EV	Net Debt	Minority	Equity Value	Value/Share	Comments	% of ACS Group
Contracting		**3,656**	**8.4**	**30,581**	**-3,796**	**6,165**	**28,212**	**103**		**81%**
Turner	80.32%	1,534	10.0	15,344	-3,271	3,663	14,951	55	EV/EBITDA	43%
CIMIC	80.32%	1,350	9.0	12,151	1,368	2,122	8,661	32	EV/EBITDA	25%
Engineering & Construction	92.38%	771	4.0	3,086	-1,893	380	4,599	17	EV/EBITDA	13%
Infrastructure						**6,174**	**8,109**	**30**		23%
Abertis	46.06%	4,104	8.1	33,286	21,839	6,174	5,273	19	DCF	15%
ACS Digital & Energy	50%						910	3	Invested Capital	3%
Iridium	100%	45	10	1,049	-467	0	1,516	6	Invested Capital & EV/EBITDA	4%
Hochtief PPP Solutions & Pacific Partnerships	100%						410	1	Invested Capital	1%
Other		**-60**		**0**	**2,697**	**0**	**-1,602**	**-6**		-5%
HQ & non-core		-60		0	2,697	0	-2,697	-10		-8%
Treasury Shares							1,096	4		3%
Total							**34,719**	**126.7**		
Number of shares							274			
Fair value per share							**127**			
Current share price							92			
% Upside /(Downside)							**38%**			

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Risks include: (i) A slowdown in the datacentre buildout; (ii) Construction risks on projects, particularly greenfield assets where ACS has made equity commitments; (iii) Increased competition in bids for new assets; (iv) A downturn in key markets, notably the US or Australia; (v) A weakening of the USD or AUD against the EUR; and (vi) The company pursuing a repeat of the equity raise it performed earlier this year.

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ACS: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**41,633**	**49,848**	**55,614**	**61,603**	**66,051**
Reported EBITDA	**2,456**	**3,070**	**3,478**	**3,818**	**4,147**
Adj. EBITDA	**2,456**	**3,070**	**3,478**	**3,818**	**4,147**
D&A	(866)	(970)	(963)	(1,001)	(1,033)
Net Interest	(408)	(562)	(585)	(489)	(414)
Adj. PBT	**993**	**1,662**	**1,954**	**2,335**	**2,707**
Tax	86	(453)	(533)	(636)	(738)
Minority Interest	(252)	(259)	(304)	(363)	(421)
Adj. Net Income	**828**	**950**	**1,118**	**1,335**	**1,548**
Reported EPS	3.23	3.69	4.08	4.87	5.65
Adj. EPS	**3.23**	**3.69**	**4.08**	**4.87**	**5.65**
DPS	**2.01**	**2.01**	**2.40**	**2.65**	**3.17**
Payout ratio	62.3%	54.5%	58.8%	54.4%	56.1%
Shares outstanding	256	257	274	274	274

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	11,414	12,100	12,100	12,100	12,100
Accounts receivable	10,935	11,919	11,919	11,919	11,919
Inventories	1,024	874	874	874	874
Other current assets	3,577	4,507	3,407	3,407	3,407
Current assets	**26,949**	**29,400**	**28,300**	**28,300**	**28,300**
PP&E	3,095	2,492	2,429	2,329	2,195
LT investments	938	1,802	1,802	1,802	1,802
Other non current assets	11,042	11,495	12,056	11,878	11,722
Total assets	**42,025**	**45,189**	**44,588**	**44,309**	**44,020**
Short term borrowings	2,799	3,120	3,120	3,120	3,120
Payables	15,961	17,295	17,295	17,295	17,295
Other short term liabilities	4,357	4,904	4,519	4,135	3,751
Current liabilities	**23,116**	**25,319**	**24,935**	**24,550**	**24,166**
Long-term debt	10,400	11,405	9,575	8,534	7,322
Other long term liabilities	3,395	3,290	3,290	3,290	3,290
Total liabilities	**36,910**	**40,013**	**37,799**	**36,374**	**34,777**
Shareholders' equity	4,714	4,815	6,329	7,353	8,527
Minority interests	401	361	460	582	715
Total liabilities & equity	**42,025**	**45,189**	**44,588**	**44,309**	**44,020**
BVPS	**-**	**-**	**-**	**-**	**-**
y/y Growth	-	-	-	-	-
Net debt/(cash)	1,785	2,425	595	(446)	(1,658)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**2,793**	**3,047**	**2,547**	**2,878**	**3,158**
o/w Depreciation & amortization	866	970	963	1,001	1,033
o/w Changes in working capital	596	524	0	0	0
Cash flow from investing activities	**(1,249)**	**(1,646)**	**(1,624)**	**(900)**	**(900)**
o/w Capital expenditure	(661)	(744)	(900)	(900)	(900)
as % of sales	*1.6%*	*1.5%*	*1.6%*	*1.5%*	*1.4%*
Cash flow from financing activities	**497**	**48**	**907**	**(938)**	**(1,046)**
o/w Dividends paid	(368)	(421)	(488)	(553)	(661)
o/w Shares issued/(repurchased)	(624)	(52)	679	0	0
o/w Net debt issued/(repaid)	1,163	934	0	0	0
Net change in cash	**1,278**	**1,449**	**1,830**	**1,040**	**1,213**
Adj. Free cash flow to firm	**1,544**	**1,401**	**923**	**1,978**	**2,258**
y/y Growth	*3.9%*	*(9.3%)*	*(34.1%)*	*114.3%*	*14.2%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
EBITDA margin	5.9%	6.2%	6.3%	6.2%	6.3%
EBIT margin	3.8%	4.2%	4.5%	4.6%	4.7%
Net profit margin	2.0%	1.9%	2.0%	2.2%	2.3%
ROE	16.5%	19.9%	20.1%	19.5%	19.5%
ROA	2.1%	2.2%	2.5%	3.0%	3.5%
ROCE	8.8%	8.2%	9.5%	10.8%	11.9%
Net debt/Equity	0.3	0.5	0.1	NM	NM
Net debt/EBITDA	0.7	0.8	0.2	NM	NM
Sales/Assets (x)	1.1	1.1	1.2	1.4	1.5
Assets/Equity (x)	7.8	9.2	8.1	6.5	5.6
Interest cover (x)	6.0	5.5	5.9	7.8	10.0
Operating leverage	103.0%	162.6%	170.8%	111.7%	145.6%
Tax rate	8.7%	27.3%	27.3%	27.3%	27.3%
Revenue y/y Growth	16.5%	19.7%	11.6%	10.8%	7.2%
EBITDA y/y Growth	28.7%	25.0%	13.3%	9.8%	8.6%
EPS y/y Growth	7.8%	14.3%	10.5%	19.5%	15.9%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	27.9	24.4	22.1	18.5	15.9
P/BV (x)	-	-	-	-	-
EV/EBITDA (x)	10.8	8.8	7.3	6.3	5.6
Dividend Yield	2.2%	2.2%	2.7%	2.9%	3.5%

Source: Company reports and J.P. Morgan estimates.
Note: € in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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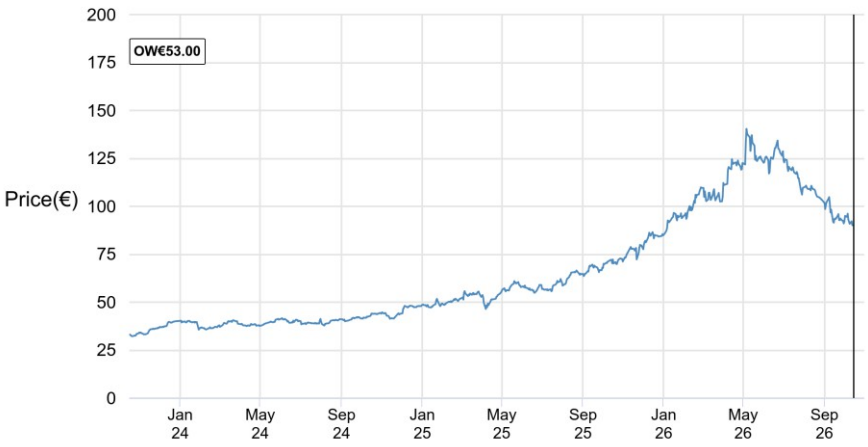
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ACS (ACS.MC, ACS SM) Price Chart



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